

Introduction to the financial arrangements rules [¶6-010]

[¶6-010]

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The financial arrangements rules are set out in:

- # subpart [EW](#)
- # ss [CC 3](#) (financial arrangements income), [DB 11–DB 15](#) (financial arrangements adjustments), [EZ 51](#) (transitional adjustment), [FB 9](#) (relationship property agreements), [GB 21](#) (avoidance provisions), and [RA 11](#) and [RA 12](#) (RWT and NRWT)
- # ss [90AA–90AD](#) of the Tax Administration Act 1994 (TAA).

A financial arrangement is an arrangement under which there is a deferral of the payment of consideration. A person receives money now in consideration for money to be paid later. Examples include a loan relationship and the sale and purchase of an asset or service if there is any deferral in the payment of the purchase price.

An excepted financial arrangement is not a financial arrangement ([¶6-065](#)). An example of an excepted financial arrangement is an equity investment.

For a flow chart summarising the spreading methods available for financial arrangements under the rules, see [¶6-125](#).

Purposes

The purposes of the financial arrangements rules are explained in s [EW 1\(3\)](#) to be:

- # to require the parties to a financial arrangement to accrue, over the term of the arrangement, a fair and reasonable amount of income derived or expenditure incurred under the arrangement and so prevent the deferral of income or the advancement of expenditure
- # to require the parties to a financial arrangement to disregard any distinction between capital and revenue amounts, and
- # to require a party to a financial arrangement to calculate a base price adjustment when the rights and the obligations of the party under the arrangement cease.

The first purpose of the financial arrangements rules, of accruing income and expenditure on a fair and reasonable basis, is accomplished by the application of one of several prescribed spreading methods to the financial arrangement. These methods allocate an appropriate portion of total income and expenditure generated from the financial arrangement to each income year of the arrangement's term. The yield to maturity method is the primary spreading method where there is certainty of the expected cash flows and payment dates. An example of when the yield to maturity method cannot be applied is an instrument that provides for a floating rate of interest.

The operation of spreading methods is recognised in the core provisions. Under s [BD 3](#), income is allocated to the income year in which it is derived, although it is acknowledged that regimes in Pt [E](#) modify the allocation of income and allocate income as part of the process of quantifying it. Similarly, s [BD 4](#) provides that a deduction for an expenditure or loss is allocated to the income year in which it is incurred, although Pt [E](#) contains provisions that modify the allocation of deductions and allocate deductions as part of the process of quantifying them. These sections describe, in general terms, the effect of the financial arrangements rules.

Significantly, the second part of the first purpose, about allocating income and expenditure on a fair and reasonable basis, is not a concept that is applied to all financial arrangements. A person who is classified as a cash basis person is not required to adopt a spreading method ([¶6-120](#)). The consequence is that income and expenditure under the person's financial arrangements is recognised on a cash, or realised, basis.

The third purpose of undertaking a base price adjustment occurs when a financial arrangement is sold or repaid. The base price adjustment is in the nature of a "wash up" calculation, designed to reveal any

previously unrecognised income or expenditure from the financial arrangement ([¶16-358](#)). The base price adjustment is incorporated in a formula that compares all consideration paid with all consideration received. The calculation will, for example, bring to account any interest paid or received in the income year in which a loan is repaid. If amounts owing under the financial arrangement have been forgiven, the calculation will also result in the forgiveness being treated as income in the hands of the borrower. This is unless the release of debt was in the family context of “in consideration of natural love and affection”.

To take account of all consideration paid or received reflects the second purpose of the financial arrangements rules: to disregard the distinction between capital and revenue. That approach ensures, for example, that financial arrangement income includes any gain achieved upon the profitable disposal of a debt investment held on capital account.

The Commissioner may issue determinations for the purposes of the financial arrangements rules ([¶16-600](#)). The topics that may be covered include spreading methods and the separation of a financial arrangement and an excepted financial arrangement where there is a close association between the 2. The Commissioner may initiate a determination, or a person may apply for one to cover a specific transaction.

The main objective of the financial arrangements rules is to require parties to a financial arrangement to spread income or expenditure from the arrangement over its term so as to prevent deductions for expenditure being accelerated and income recognition being deferred.

Historical background

The table below summarises the different regimes that have operated.

When financial arrangement entered into:	Regime name:
after 19 May 1999	financial arrangements rules (also referred to as accrual rules and division 2 rules). See subpart EW .
on or after 31 July 1986 and before 20 May 1999	old financial arrangements rules (also referred to as division 1 rules, accruals rules and qualified accruals rules). See ss EZ 33–EZ 52 .
The purchaser of an old financial arrangement after 19 May 1999 becomes subject to the financial arrangements rules.	

Law: IT07 ss [BD 3](#), [BD 4](#), [EW 1](#), [EW 3](#), [EZ 33](#)

Last reviewed on 31 December 2025

Relationship of financial arrangements rules to other provisions [¶6-020]

[¶6-020]

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The financial arrangements rules override any other provision for the timing and quantifying of income and expenditure under a financial arrangement, unless specifically provided otherwise (s [EW 2](#)).

In addition, cost for various regimes does not include expenditure under a financial arrangement that is subject to the financial arrangements rules. Financial arrangement expenditure is not included in:

- # the cost of trading stock for low-turnover traders of trading stock (including dealer's livestock) ([¶19-006](#))
- # the cost of livestock
- # the cost of bloodstock
- # the cost of revenue account property
- # the cost of timber
- # the cost of acquiring a film or a film right
- # film production expenditure
- # petroleum development expenditure, and
- # petroleum exploration expenditure.

These exclusions ensure that an outlay does not result in 2 deductions (for example, interest allowed as a deduction under the financial arrangements rules cannot be capitalised and included as part of the cost base of revenue account property).

The financial arrangements rules may determine the value of property acquired or disposed of under a financial arrangement. Under s [EW 35](#), the acquisition or disposal value is the value as determined under the financial arrangements rules.

Example:

SC Ltd purchases an item of plant for a total of \$500,000. That price includes capitalised interest of \$25,000. Under the financial arrangements rules, the lowest price of the plant is \$475,000. The depreciable cost of the plant for SC Ltd similarly becomes \$475,000.

Law: IT07 ss [EW 2](#), [EW 35](#)

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Scope of the financial arrangements rules [¶6-026]

[¶6-026]

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The financial arrangement rules apply to persons resident in New Zealand and to a non-resident who enters into a financial arrangement for the purpose of a fixed establishment in New Zealand.

The financial arrangements rules apply to a financial arrangement:

- # that all its parties enter into after 19 May 1999
- # existing immediately before 20 May 1999 to the extent to which a person becomes a party to the arrangement after 19 May 1999
- # that is rolled over or extended, or under which an advance is made, after 19 May 1999, under a binding contract entered into before 20 May 1999
- # to the extent to which the transferee becomes a party to it where:
 - # the transferor is a party to it before 20 May 1999
 - # it is rolled over or extended, or an advance is made under it, after 19 May 1999, under a binding contract entered into before 20 May 1999, and
 - # it is transferred under a relationship agreement after 19 May 1999.

There are exclusions from the financial arrangements rules for a financial arrangement where:

- # all parties enter into the financial arrangement after 19 May 1999, under a binding contract entered into before 20 May 1999, or
- # all its parties enter into the financial arrangement after 19 May 1999, under a binding contract entered into before 20 May 1999 and the financial arrangement is transferred under a relationship agreement after 19 May 1999.

If the financial arrangements rules do not apply, the financial arrangement continues to be subject to the old financial arrangements rules in ss [EZ 33–EZ 52](#).

If the old financial arrangements rules apply, a person can elect to apply the financial arrangements rules by calculating a transitional adjustment under s [EZ 51](#).

A person who is a party to a financial arrangement that is subject to the financial arrangements rules must calculate and allocate income or expenditure under the arrangement for an income year under those rules.

Law: IT07 ss [EW 9](#), [EW 10](#), [EZ 33](#), [EZ 34](#), [EZ 51\(1\)](#)

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Exclusions from financial arrangements rules [¶6-030]

[¶6-030]

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The financial arrangements rules do not apply to:

- # the calculation of resident passive income
- # the calculation of non-resident passive income (other than non-resident financial arrangement income or income derived under a notional loan under s [FG 3](#)), and
- # use of money interest paid to or by the Commissioner.

This exclusion ensures interest under both regimes is ascertained on a cash basis rather than an accrual basis. There are exceptions for non-resident financial arrangement income and for a notional loan to the New Zealand branch of a foreign bank ([¶26-440](#)).

The financial arrangements rules generally apply to a non-resident only to the extent that the non-resident is a party to a financial arrangement for a business carried on by the non-resident through a fixed establishment in New Zealand. Effectively, this means that the rules apply to a non-resident who operates a branch business in New Zealand and who borrows or invests in financial arrangements for that business. Under the controlled foreign company regime outlined in [¶26-038](#), the financial arrangements rules would have application to the shareholder of a non-resident company.

The financial arrangements rules may also apply to a non-resident trustee of a non-complying trust. This extension of the financial arrangements rules envisages a trust with a settlor resident in New Zealand derives foreign-sourced income from investments made by the non-resident trustee. The extension ensures that the settlor's tax liability is calculated as if trustee income was subject to New Zealand tax rules.

Law: IT07 ss [EW 9](#), [EW 11](#)

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Financial arrangements defined [¶6-045]

[¶6-045]

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A financial arrangement is an arrangement under which a person receives money in consideration for that person, or another person, providing money to any person:

- # at a future time, or
- # on the occurrence or non-occurrence of a future event, irrespective of whether the event occurs because notice is, or is not, given.

The concept of an arrangement is very broad. It encompasses an agreement, contract, plan or understanding, whether it is enforceable or not, including all steps and transactions by which it is carried into effect. There are limits to the breadth of the concept and not every stated prediction of probable future conduct is an arrangement in the form of an understanding. For there to be an understanding, there must be a statement of intent that is unequivocal and unqualified (*GPO Holdings Ltd v C of IR* (1996) 17 NZTC 12,429).

Without limiting the generality of the definition, the concept of a financial arrangement includes:

- # a debt, including a debt that arises by law
- # a debt instrument
- # the deferral of the payment of some or all of the consideration for an absolute assignment of some or all of a person's rights under another financial arrangement or under an excepted financial arrangement, and
- # the deferral of the payment of some or all of the consideration for a legal defeasance releasing a person from some or all of their obligations under another financial arrangement or under an excepted financial arrangement.

A financial arrangement also includes an excepted financial arrangement (¶6-065) that ceases to have that classification. An excepted financial arrangement can cease to be so classified where:

- # the excepted financial arrangement is one of the following kinds that the person stops using for a private or domestic purpose:
 - # a cash basis person who is a borrower under a foreign currency loan
 - # an option to acquire or dispose of property that is not a financial arrangement
 - # an agreement for the sale and purchase of property or services or a specified option that must be settled within 365 days and is for a value that is less than \$1 million for real property or less than \$400,000 for other property or services
- # the excepted financial arrangement is one of the following kind that the person elects to treat as a financial arrangement and the expenditure under the agreements satisfies the general permission and is not denied by a general limitation as a deduction of the person:
 - # an agreement for the sale and purchase of property or services if prepayments under all such agreements do not exceed \$50,000
 - # a short-term agreement for the sale and purchase of property or services
 - # a short-term option
 - # travellers' cheques
 - # a variable principal debt instrument if the value of all such instruments do not exceed \$50,000
- # the excepted financial arrangement is an interest-free loan in New Zealand currency, repayable on demand, that the person elects to treat as a financial arrangement.

For the first category, the excepted financial arrangement becomes a financial arrangement on the day on which the person stops using it for a private or domestic purpose. Upon becoming a financial arrangement, a spreading method must be applied and a base price adjustment calculated upon disposal or maturity of the financial arrangement.

No guidance is given for determining when the excepted financial arrangement ceases to be used for a private or domestic purpose. This is a question of fact.

Example:

Mr KP is a motor vehicle dealer who raises a USD loan to purchase a Humvee vehicle and uses it for private motoring. Six months later, Mr KP decides to sell the vehicle through his business. The USD loan becomes a financial arrangement probably at the point at which Mr KP starts to display the vehicle for sale.

The second category is provided for in s [EW 8\(1\)\(a\)](#). That section was amended in 2013, with effect from 27 September 2012, to apply only to a person carrying on a business of acquiring short-term agreements for sale and purchase to collect amounts owing at the time of acquisition. The person could then choose to treat all such acquired agreements as financial arrangements. However, the amendment was later repealed in 2014 and the original provision was restored. An additional amendment added the requirement for the expenditure to satisfy the general permission and not be denied a deduction by a general limitation, with effect from 17 July 2013. A savings provision preserves an election made under s [EW 8](#) as amended in 2013, provided a tax position was taken in a return received by the Commissioner, or a determination or binding ruling made by the Commissioner, before 14 April 2014 and the person chose to continue to take that tax position after that date.

Note, however, that at the time s [EW 8](#) was amended in 2013, an additional amendment inserted s [ED 4](#) and that section remains. That section provides that when a taxpayer has one of the 5 excepted financial arrangements listed above that is denominated in a foreign currency, they may choose to value any debts outstanding under the excepted financial arrangement at the same spot exchange rate they use in preparing financial statements. This rule is optional, but once a taxpayer elects into the rule for an excepted financial arrangement, they must continue to apply the rule to all of their excepted financial arrangements that are of the same type. A taxpayer's decision to elect into the rule will be reflected in the tax position they take in their return of income for the year. No prior notice of election is required.

An election under s [EW 8](#) is made by preparing the tax return for the year of election on the basis that the excepted financial arrangements are financial arrangements. That involves the application of a spreading method to the financial arrangements. A category-by-category approach may be adopted or a class approach for short-term agreements. The election does not need to be made for all categories or classes that are potentially subject to an election.

An election may be revoked. The revocation is achieved by giving the Commissioner notice of the revocation within the time allowed for the filing of the tax return for the year in which the notice of revocation is given. The revocation applies prospectively, extending to excepted financial arrangements entered into after the year of election. Financial arrangement treatment would continue to apply to those financial arrangements held at the end of the year of revocation, until such time as they are sold or they mature.

Consideration

The definition of a financial arrangement refers to a receipt of money "in consideration for" money to be provided in the future. The notion of consideration for these purposes is not defined. Some reference can be made to the general principles on the meaning of the concept.

Consideration is a feature of every contract. To be a contract, the agreement in question must be supported by consideration. Under the law of contract, consideration, as traditionally conceived, involves either some detriment to the promisee or some benefit to the promisor. An alternative definition adopted by the House of Lords is that consideration is the price for which the promise of the other is bought (*Dunlop v Selfridge* [1915] AC 847).

These propositions were outlined by the High Court in *Cooper v C of IR* ([1995](#)) 17 NZTC 12,216. This case concerned the construction of a loan agreement that provided that the borrowers would be discharged from all liabilities under the loan, if the lender became insolvent. In due course, the lender became insolvent and was wound up. The Court held that the borrowers had been discharged from making all remaining loan

payments without consideration. The Court made no reference to the alternative possibility that consideration had been provided when the loan was entered into. At that time, the lender agreed to discharge the borrowers upon the lender's insolvency, and it was not explained why it was necessary that the borrowers should give additional consideration to obtain the discharge when insolvency eventuated.

There is an element of reciprocity in the concept of consideration. No such element was found to be present for GST purposes where a corporate body for a time share resort merely collected contributions from its members and passed them on (*Taupo Ika Nui Body Corporate v C of IR* (1997) 18 NZTC 13,147).

It is not every benefit or advantage that accompanies or follows a disposition that can be regarded as consideration. There must be an element of bargain that ties the benefit to the disposition. The benefit must be given in return for the disposition and be enforceable by the disponent. See the gift duty case of *Baigent v C of IR* (1979) 4 NZTC 61,628 (CA).

The concept of consideration for stamp duty purposes was held, in one case, to be what the vendor of an asset receives to transfer the asset to the purchaser. This was in the context of a case that concerned the dutiable value of an agreement for the sale and purchase of shares, the agreement also providing that the target company would pay a pre-settlement dividend to its shareholder as vendor. A majority of the High Court of Australia held that the amount of the dividend should be taken into account in computing the consideration. Receipt of the dividend was part of the payments that induced the vendor to transfer the shares it held in the target company. The minority of the Court thought that the consideration for the dividend was provided upon the original subscription for share capital in the target company. When the shares were subscribed for, the subscription was in consideration of the company's promise to apply its assets in various ways, such as by paying dividends. See *Chief Commr of State Revenue (NSW) v Dick Smith Electronics Holdings Pty Ltd* 2005 ATC 4052.

In [BR Pub 18/06](#), the Commissioner discussed the concept of consideration in the course of addressing the question of whether school fees and activity fees paid to a state school attract GST.

What is not a financial arrangement

Under s [EW 4](#), some transactions are not a financial arrangement.

An absolute assignment of some or all of a person's rights under a financial arrangement or excepted financial arrangement is not a financial arrangement. This is provided that there is no deferral of payment of any of the consideration for the assignment.

A legal defeasance that releases a person from some or all obligations under a financial arrangement or an excepted financial arrangement is not a financial arrangement. This is provided that there is no deferral of payment of any of the consideration for the defeasance. The notion of a legal defeasance encompasses the release from the primary obligation owed under a financial arrangement that is formally acknowledged or established by legal judgment.

These exclusions may be regarded as confirmatory in nature, because the absence of deferral indicates that the assignment or defeasance would not have been within the scope of the definition of a financial arrangement.

Composite financial arrangement

The concept of a financial arrangement may raise the question of whether 2 or more associated agreements are one financial arrangement. For example, the everyday purchase of a residential property may be pursuant to an agreement containing a "subject to finance" clause. The linkage between purchase of the residence and financing of the purchase raises the question of whether the agreements should be classified as one financial arrangement.

A commodity exporter who sold wool on a forward basis in a foreign currency entered into 2 contracts. One was for the sale of wool and the other was a forward foreign exchange contract providing for the sale of the foreign currency in exchange for a fixed amount of New Zealand dollars. To treat the 2 agreements as

separate financial arrangements when they spanned a balance date produced a mismatch at balance date involving unrealised gains on the foreign exchange contract but no corresponding loss on the wool sale contract (neutrality between the 2 would not be achieved until the contracts concluded after the balance date). The Court of Appeal held that the wool sale contract and the forward foreign exchange contract could not be regarded as one financial arrangement. The wool purchaser was not a party to the foreign exchange contract and was not likely to even know of it. The bank was not a party to the wool contract. The consideration in each contract moved to and from a party that had no connection with the other contract, so there was no interaction or interdependence. See *C of IR v Dewavrin Segard (NZ) Ltd* (1994) 16 NZTC 11,048 (CA).

The Commissioner commented that this case showed that, for 2 or more arrangements to be taken as part of a composite financial arrangement, there must be some interdependence. That interdependence must be present not only in terms of the parties involved in the transaction, but also in terms of the consideration passing under each arrangement (*Tax Information Bulletin* ¶116-103 Vol 11, No 6, July 1999 at 10).

A shareholder's guarantee of a loan to his company, together with the loan, was not regarded as one financial arrangement. Both the guarantee and loan agreements were treated as separate, so that the consideration payable under the loan agreement did not supply consideration for the guarantee. See *McElwee v C of IR* (1997) 18 NZTC 13,288. Consideration for the release of a debt owed under a loan, if any, must be supplied by the loan agreement itself and not by an associated agreement, such as an option agreement for the possible purchase of livestock, that the parties had also entered into. See *Cooper v C of IR* (1995) 17 NZTC 12,216.

Example:

Mrs GL enters into a contract to purchase a residence for \$750,000 on "subject to finance" terms. Mrs GL raises finance from A Bank Ltd and a second mortgage from the vendor. The agreement for the purchase of the residence can be classified as an agreement for the sale and purchase of property or services entered into for private or domestic purposes that is an excepted financial arrangement. Is the transaction to be analysed as one financial arrangement or as 3 financial arrangements comprising the purchase and 2 contracts of loan?

Classification as one financial arrangement would be based on the notion that there is a plan carried into effect by the 3 agreements.

Classification as 3 financial arrangements would be based on the proposition that there is no interaction or interdependence between the 3 contracts. The consideration under each of them is confined to each agreement and does not move from one agreement to another. The contract for sale and purchase, for example, is independent of the contract of loan between the vendor and the purchaser. Each agreement contains its own self-contained series of promises and mere temporal association between them may be insufficient to create interdependence.

The absence of interdependence of consideration suggests the presence of 3 financial arrangements. Treatment as one financial arrangement may also result in an anomalous outcome. As one financial arrangement, there would be the possibility of classification as an excepted financial arrangement because of the purchase of the residence as the dominant feature of the arrangement. That would be an anomalous result because of the presence of loan agreements that without doubt should be subject to the financial arrangements rules.

Law: IT07 ss [ED 4](#), [EW 3](#), [EW 4](#), [EW 7](#), [EW 8](#), [YA 1](#) ("arrangement")

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Excepted financial arrangements defined [¶6-065]

[¶6-065]

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An excepted financial arrangement is not a financial arrangement. If not classified as a financial arrangement, it is not necessary to apply a spreading method or to calculate a base price adjustment upon maturity or sale.

A schedular approach is adopted in defining what is an excepted financial arrangement. The concept of an excepted financial arrangement comprises a list of various transactions. The transactions are so included with no consistent theme beyond inclusion for policy reasons or to ensure harmony with other taxation regimes. A prominent category of excepted financial arrangement encompasses shares. As a consequence, the financial arrangements rules can be seen to govern the taxation of debt instruments and not equity investments.

Certain excepted financial arrangements may become financial arrangements if the person makes an election for that treatment ([¶6-045](#)).

For a discussion on the valuation of excepted financial arrangements that are revenue account property see [¶9-060](#).

Annuity

An annuity is an excepted financial arrangement to the extent to which it is not life financial reinsurance (as defined in s [EY 12](#)) where the annuity is:

- # for a term contingent on human life, or
- # for a term not contingent on human life, but which is offered as part of a business of life insurance.

Bet

An excepted financial arrangement includes a bet on:

- # a horse race
- # a sports event, or
- # gambling.

Cryptocurrency

Cryptocurrency is an excepted financial arrangement provided the ownership of the cryptocurrency does not result in the owner being entitled, during the period of ownership, to amounts that are determined (s [EW 5\(3BA\)](#)):

- # with reference to the quantity or value of the cryptocurrency
- # on a basis known to the owner in advance, and
- # not referenced by business profits is not an excepted financial arrangement.

Non-fungible tokens (NFTs) do not come within the definition of cryptocurrency and are not an excepted financial arrangement. This is because NFTs meet the definition of "[cryptoasset](#)" but not "[cryptocurrency](#)". However, in most cases it is unlikely that holding an NFT would give rise to a financial arrangement under the definition in s [EW 3](#).

An option to acquire or dispose of cryptocurrency is an excepted financial arrangement.

Emissions unit

An emissions unit, as defined in s [YA 1 \(15-228\)](#), is an excepted financial arrangement. See [19-062](#) for the valuation rules relating to emissions units.

Note that a number of amendments have been made to deal with the securitisation of pre-1990 forest land emissions units through a sale and compulsory buy-back transaction. This transaction is effectively a lease of the units in exchange for a loan. The transaction is treated as a financial arrangement with an attached excepted financial arrangement. The excepted financial arrangement is the assignment of the pre-1990 forest land emissions units by the holder to a person who is not an associated person (the lender) and the later assignment of the same or other New Zealand emissions units by the lender to the holder. Thus, the financial arrangements rules apply to the “interest” component only ([15-228](#)).

Greenhouse gas unit

A greenhouse gas unit (as defined in s [YA 1](#)) that is not an emissions unit is an excepted financial arrangement. Note that prior to 30 November 2020, a non-Kyoto greenhouse gas unit was an excepted financial arrangement.

Research and development agreement

An agreement between 2 parties for the provision of property or services in consideration for a payment under a research and development growth grant (prior to 30 March 2017, a technology development grant or technology transfer voucher) is an excepted financial arrangement.

Employment contract

An employment contract is an excepted financial arrangement.

This category of excepted financial arrangement gives no guidance to the classification of transactions that may flow out of an employment contract. An employment contract may perhaps be regarded as the provision of remuneration, such as salary, fringe benefits and superannuation contributions, in exchange for services. Additional transactions, such as the provision of finance on favourable terms, may be regarded as a separate transaction despite its antecedents in the contract of employment. There is an absence of interdependence of consideration between the employment contract and the contract of loan, because each is capable of operating independently of the other.

Farm-out arrangement

A farm-out arrangement is an excepted financial arrangement. A farm-out arrangement is one that involves the provision of services or finance for petroleum or mineral exploration activities in return for a share in the activity or any success generated from the project.

Group investment fund interest

An interest in a group investment fund is an excepted financial arrangement.

A group investment fund is a fund established under the Public Trust Act 2001 or the Trustee Companies Act 1967. A group investment fund is treated as an equity investment arrangement for income tax purposes. It is appropriate that the financial arrangements rules do not apply.

Hire purchase of livestock or bloodstock

A hire purchase agreement for livestock or bloodstock is an excepted financial arrangement. For this purpose, a hire purchase agreement is one of the following:

- # an agreement for the hire of goods, with an option to purchase
- # an agreement for the purchase of goods by instalment payments where possession is given before the purchase price is paid in full
- # an agreement to sell goods at retail under which property in the goods passes to the buyer subject to a security granted by the buyer for payment of the price, and
- # a sale and loan agreement, where a loan has been advanced to enable the purchase of goods at retail and security over the goods is given.

There are a number of exclusions. An agreement that was not made at retail is not a hire purchase agreement; similarly, an agreement that provides for title to pass at the time it is made or before or upon delivery of the goods. However, if the agreement is one of the first 2 kinds of agreement listed above, it continues to be classified as a hire purchase agreement.

A lay-by sale is not a hire purchase agreement. A feature of a lay-by sale agreement is that the buyer does not receive possession or title to the goods until the price has been paid in full.

There is a specific regime relating to the taxation of hire purchase agreements ([¶16-740](#)).

Insurance contract

An insurance contract is an excepted financial arrangement to the extent to which it is not life financial reinsurance.

An insurance contract can include a cover note and the renewal of an insurance contract. The courts have noted that the aim of insurance is to shift risk from one person (the insured) to another (the insurer). There must be an element of uncertainty as to the risk, which may or may not happen, or an event that is certain to happen but at a time that cannot be predicted, and the insured must have an insurable interest in the subject matter. In common with any contract, each party must provide consideration, which, in this instance, will usually be a premium taken in the form of money. The consideration supplied by the insurer is the promise to provide a benefit in exchange for the premium. The insured must have a legal right to the benefit where the claim falls within the terms of the agreement, and the benefit must have some value. See *C of IR v Motorcorp Holdings Ltd* ([2005](#)) [22 NZTC 19,126 \(CA\)](#).

In *Sovereign Assurance Company Ltd v C of IR* ([2012](#)) [25 NZTC ¶120-138](#), the High Court considered whether commission arrangements under reinsurance contracts were a contract of insurance and therefore an excepted financial arrangement and concluded they were not. The Court held that a payment or payments in the nature of a premium was a necessary element of a contract of insurance. In addition, the commission arrangements lacked other usual attributes of a contract of insurance and, as a matter of commercial reality, there was no significant transfer of risk to the reinsurers.

Lease that is not a finance lease

A lease that is not a finance lease is an excepted financial arrangement.

For the financial arrangements rules, a lease is generally:

- # an agreement under which a lessor transfers to a lessee a personal property lease asset in consideration for a personal property lease payment
- # a sublease
- # a licence to use intangible property
- # a hire or bailment
- # 2 or more consecutive or successive leases treated by the Commissioner as one lease
- # an arrangement of the above kinds relating to real property, livestock or bloodstock, or
- # an occupation right agreement as defined in the Retirement Villages Act 2003.

The notion of what constitutes a lease does not include a hire purchase agreement or an assignment of a hire purchase agreement.

A personal property lease asset is personal property that is subject to a lease, while a personal property lease payment is consideration in money or money's worth for such an asset.

For a detailed discussion of finance leases, see ¶16-700. Note that taxpayers with IFRS reporting obligations are allowed to closely follow their accounting treatment of leases for tax purposes, if they choose to do so.

Loan in New Zealand currency

An excepted financial arrangement for a lender is a loan made in New Zealand currency that is interest free and repayable on demand. Note, however, that a person may elect to treat this excepted financial arrangement as a financial arrangement under s EW 8 (¶16-045).

A loan of this kind is relatively common in estate-planning arrangements and similar family dealings. In the absence of interest payable to the lender, there would appear to be little merit in including loans of this kind within the scope of the financial arrangements rules. For the borrower, the loan is subject to the financial arrangements rules, possibly to monitor whether any release of the debt occurs to give rise to income under a base price adjustment calculation.

Partnership or joint venture

An excepted financial arrangement includes an interest in a partnership or a joint venture.

Look-through interest for look-through company

A look-through interest for a look-through company is an excepted financial arrangement.

Share-lending arrangement

An excepted financial arrangement includes a share-lending arrangement.

This is to ensure that the financial arrangements rules do not subject to tax any movement in the market value of the shares over the term of a “qualifying” share-lending arrangement.

The financial arrangements rules contain a specific provision effectively deeming the ownership of shares under a share-lending arrangement to have always remained with the share supplier for the purposes of the financial arrangements rules (s EW 52). For a discussion of the tax treatment of distributions under a share-lending arrangement, see ¶17-116.

Share or an option over shares

An excepted financial arrangement includes a share or an option to acquire or dispose of shares.

This does not apply if the shares in question are withdrawable shares. Essentially, a withdrawable share is one issued by a building society specifying at the outset the rate of dividend payable on the share. However, if the share was acquired, or the option entered into, before 19 May 1999, there may be an exclusion under the old financial arrangements rules.

The notion of what is a share for tax purposes is outlined in ¶16-555. The concept encompasses:

- # any interest in the capital of a company
- # a profit-related (floating rate) debenture (s FA 2)
- # a stapled debt security to which s FA 2B(2) applies
- # a unit in a unit trust
- # an investor's interest in a group investment fund where:
 - # the fund is not a designated group investment fund
 - # the interest does not result from an investment from a designated source, and

the interest results from an investment made after 22 June 1983.

From 1 April 2015, a substituting debenture is debt for tax purposes. Any income derived or expenditure incurred under such a debenture is therefore taken into account under the financial arrangements rules from that date. A transitional provision (s [EZ 77](#)) applies for substituting debentures already in existence ([¶16-555](#)).

Specified preference share

A specified preference share is an excepted financial arrangement. This was a special kind of share that was issued under a contract entered into before 23 October 1986. They were treated as debt for tax purposes.

Superannuation

A membership of a superannuation scheme is generally an excepted financial arrangement.

A superannuation scheme is a trust established mainly for the purposes of providing retirement benefits to natural persons or paying benefits to superannuation funds.

Warranty

A warranty for goods or services is an excepted financial arrangement.

The Court of Appeal held that a warranty and a sale and purchase agreement for a motor car were one financial arrangement that constituted an excepted financial arrangement (*C of IR v Mitsubishi Motors New Zealand Ltd* ([1994](#)) [16 NZTC 11,099 \(CA\)](#)).

Transitional residents

An excepted financial arrangement includes an arrangement of a transitional resident, provided the other parties to the arrangement are non-residents and the arrangement is not for the purposes of a business carried on in New Zealand by a party to the arrangement.

Loan in a foreign currency for a private or domestic purpose

A loan in a foreign currency that is used for a private or domestic purpose, is an excepted financial arrangement for a borrower who is a cash basis person.

The courts have said that an outgoing is of a private nature if it is exclusively referable to living as an individual member of society and that domestic expenses are those relating to the household or family unit (*Hunter v C of IR* ([1990](#)) [12 NZTC 7,169 \(CA\)](#)).

The loan will change its classification to a financial arrangement if the loan ceases to be used for a private or domestic purpose ([¶16-045](#)).

It is possible that a foreign currency loan raised for an income-producing purpose may start to be used for a private or domestic purpose. In that event, a base price adjustment is calculated immediately before the loan becomes an excepted financial arrangement.

Option over property for private or domestic purpose

An option to acquire or dispose of property, where the person becomes a party to the option for a private or domestic purpose, is an excepted financial arrangement. However, if the property in question is an interest in a financial arrangement, the option cannot be classified as an excepted financial arrangement.

In the event that the option is no longer for a private or domestic purpose, the option ceases to be an excepted financial arrangement and becomes a financial arrangement ([¶16-045](#)). The converse situation of an option granted for an income-producing purpose that begins to be used for a private or domestic purpose requires a base price adjustment calculation when the option becomes an excepted financial arrangement.

Private or domestic agreement for the sale and purchase of property or services

An agreement for the sale and purchase of property or services or a specified option is an excepted financial arrangement if all of the following apply:

- # the agreement is entered into by the person, or the option was granted to or by the person for a private or domestic purpose
- # the subject matter of the agreement or the option is for a purchase price that is less than \$1,000,000 for real property, \$400,000 for other property, or \$400,000 for services,

and

- # settlement of the property or performance of the services is required no later than 365 days:

- # after the date of the agreement, in the case of an agreement for property or services, or
- # after the date of the specified option, should an agreement result from exercise of the option.

A specified option is an option to acquire or dispose of property or services, and includes any agreement for sale and purchase entered into upon exercise of the option. The notion of property includes all forms of property, with the exception of a financial arrangement and foreign exchange.

This category of excepted financial arrangement ceases to have that status if the agreement for the sale and purchase of property or services stops being used for a private or domestic purpose ([¶16-045](#)). A base price adjustment calculation may be required in the converse situation of an agreement originally for an income-producing purpose that starts to be used for a private or domestic purpose.

Agreement for the sale and purchase of property or services

An agreement for the sale and purchase of property or services is an excepted financial arrangement if all sales or purchases are prepaid and the total value of such prepayments under all such agreements throughout the income year does not exceed \$50,000. No guidance is given on what constitutes prepayments. Under a contract of general insurance, for example, the year's premium is usually paid at the beginning of the year of insurance. Usual terms of trade of that kind are not readily regarded as giving rise to a prepayment.

This category of excepted financial arrangement does not apply if the person elects to treat the agreements as financial arrangements under s [EW 8](#).

Short-term agreement for the sale and purchase of property or services

An excepted financial arrangement includes a short-term agreement for sale and purchase. The requirements for classification as a short-term agreement for sale and purchase are that the agreement is for the sale and purchase of property or services and provides for one of the following alternatives:

- # settlement must take place or the services must be performed within 93 days of the date of the agreement
- # if the date of the agreement is unknown, settlement must take place or the services must be performed within 93 days of the earlier of:

- # the date of first payment by the buyer, and
- # the date on which the first right in the property is transferred or the services are performed, or
- # settlement must take place or the services must be performed within 93 days of an invoice date if the agreement is continuous and the seller renders periodic invoices.

This category of excepted financial arrangement can be expected to be applicable to business-to-business dealings. The usual terms of trade for such sales is that payment by the buyer is due no later than the 20th of the month following the month of sale. That timetable is well within the 93-day limit.

A short-term agreement for sale and purchase will not be an excepted financial arrangement if the person elects to treat all such agreements as financial arrangements under s [EW 8 \(16-045\)](#).

Short-term option

An excepted financial arrangement includes a short-term option. A short-term option is an option to acquire or dispose of property or services if one of the following alternatives applies:

- # settlement must take place or the services must be performed within 93 days of the date of the option agreement, or
- # if the date of the option agreement is unknown, settlement must take place or the services must be performed within 93 days of the earlier of:
 - # the date of first payment by the buyer, and
 - # the date on which the first right in the property is transferred or the services are performed.

A party to a short-term option may elect to treat the agreement as a financial arrangement under s [EW 8 \(16-045\)](#).

Travellers' cheques

Travellers' cheques are an excepted financial arrangement. A person may elect to treat the travellers' cheques as a financial arrangement under s [EW 8 \(16-045\)](#).

Variable principal debt instrument

An excepted financial arrangement includes a variable principal debt instrument if all instruments of that kind held by the person at all times during the income year do not exceed \$50,000. A variable principal debt instrument is one that contemplates further advances on demand or on call. It is also an instrument that contemplates that foreign currency advances must be repaid on demand. A bank overdraft is perhaps the most common example of a variable principal debt instrument.

A person may elect that a variable principal debt instrument be classified as a financial arrangement under s [EW 8 \(16-045\)](#).

Law: IT07 ss [EW 5](#), [EW 52](#), [EW 52B](#)

Last reviewed on 31 December 2025

Relationship between a financial arrangement and an excepted financial arrangement [¶6-075]

[¶6-075]

[Click to open document in a browser](#)

It is particularly common for a transaction, upon closer examination, to involve a number of associated transactions. A purchase of consumer goods by electronic funds transfer or by credit card, for example, may result in an agreement between the merchant and the consumer and the finance institutions of the merchant and the consumer. A proliferation of transactions from a purchase of goods or services may result in some that are financial arrangements and others that are excepted financial arrangements. Some guidance on their separation may be desirable to ensure that different statutory regimes operate according to their tenor.

A first proposition is that an excepted financial arrangement can be part of a financial arrangement. The kind of excepted financial arrangement determines the amounts taken into account under the financial arrangements rules.

Solely attributable amounts excluded

For certain categories of excepted financial arrangements that are a part of a financial arrangement, any amount solely attributable to the excepted financial arrangement is not taken into account under the financial arrangements rules. The following excepted financial arrangements fall within this exclusion:

- # an annuity
- # a bet
- # an emissions unit
- # a greenhouse gas unit (prior to 30 November 2020, a non-Kyoto greenhouse gas unit)
- # a research and development agreement
- # an employment contract
- # a farm-out arrangement
- # a group investment fund interest
- # a hire purchase agreement for livestock or bloodstock
- # an insurance contract
- # a lease that is not a finance lease
- # a New Zealand currency loan that is interest-free, repayable on demand for the lender
- # an interest in a partnership or joint venture
- # a look-through interest for a look-through company
- # an assignment and return of emissions units as part of a loan
- # a share-lending arrangement
- # a share or an option over shares
- # a specified preference share
- # membership of a superannuation scheme, and
- # a warranty.

Solely attributable amounts included

For other categories of excepted financial arrangement that are a part of a financial arrangement, any amount solely attributable to the excepted financial arrangement is an amount taken into account under the financial arrangements rules. The categories of excepted financial arrangement that become subject to this treatment are:

- # certain arrangements to which a transitional resident is a party
- # a private or domestic purpose loan in a foreign currency for a borrower who is a cash basis person
- # an option over property for a private or domestic purpose

- # a private or domestic agreement for the sale and purchase of property or services or specified option
- # an agreement for the sale and purchase of property or services where sales and purchases prepaid
- # a short-term agreement for the sale and purchase of property or services
- # a short-term option
- # travellers' cheques, and
- # a variable principal debt instrument.

Reason for different treatments

The Commissioner explained the reason for the different treatment according to the kind of excepted financial arrangements, stating that the solely attributable rule was amended so that it does not apply to arrangements that are excepted financial arrangements for compliance cost reasons only (*Tax Information Bulletin* ¶116-103 Vol 11, No 6, July 1999 at 10). In other words, these excepted financial arrangements are outside financial arrangements rules on their own but, when used within a wider financial arrangement, they are subject to the financial arrangements rules.

The Commissioner also stated that income or expenditure is solely attributable to an excepted financial arrangement if it could have been expected to arise, or be incurred, without the support of a wider financial arrangement.

The solely attributable phrase should not be interpreted strictly. A gain or loss remains solely attributable to an excepted financial arrangement, even if a non-excepted financial arrangement, such as a loan, is a necessary precondition for the gain or loss to be derived or incurred. As an example, the Commissioner referred to the situation of a loan raised to purchase shares. The share subscription and all benefits flowing from it, such as dividends, are solely attributable to the shares as an excepted financial arrangement and so are not taken into account under the financial arrangements rules.

It may not always be easy to understand how an excepted financial arrangement is “part of” a financial arrangement. The Commissioner appears to accept the example of where monies are lent to subscribe for shares. It appears to be accepted that the entire transaction is one financial arrangement with the test of amounts solely attributable to an excepted financial arrangement applied to exclude any dividends from being accounted for under the financial arrangements rules. There is some scope to debate the cogency of this example. There is a basis for doubting whether the transaction of loan and share acquisition form one financial arrangement despite their close association. The 2 contracts may be freestanding without financial interdependence.

It is probable that in some situations it may be necessary to draw a distinction between an excepted financial arrangement that is “part of” a financial arrangement and one that is “subject to” a financial arrangement. An example could be the sale of shares under an agreement for sale and purchase that is not itself to be classified as an excepted financial arrangement. It may be appropriate to regard the shares as subject to the agreement for sale and purchase as a financial arrangement but not as part of that financial arrangement. That view would be on the basis that the contract of shareholding continues between the issuing company and its shareholder irrespective of any arrangements the shareholder may make for disposal of that contract as a form of property.

The Commissioner may make a binding ruling on whether an amount is solely attributable to an excepted financial arrangement.

Excepted financial arrangements that form part of a financial arrangement are discussed by P Speakman in “The FA rules: problems and practical issues”, CCH, *New Zealand Tax Planning Report*, No 1, May 2007, p 1.

Law: IT07 s [EW 6](#)

Last reviewed on 31 December 2025

Spreading method required for financial arrangements [¶6-102]

[¶6-102]

[Click to open document in a browser](#)

A party to a financial arrangement must use a spreading method to calculate income and expenditure under the financial arrangement for each income year over the term of the financial arrangement. This is unless the person is not required to apply a spreading method.

A spreading method is not required to be applied:

- # by a cash basis person, unless an election to the contrary is made
- # by a trustee of a trust fund for personal injury compensation, if the trustee meets the criteria for classification as a cash basis person
- # in the income year in which a base price adjustment calculation is required upon disposal or maturity of the financial arrangement.

Law: IT07 ss [EW 12](#), [EW 13](#)

Last reviewed on 31 December 2025

Cash basis person [¶6-120]

[¶6-120]

[Click to open document in a browser](#)

Note: The [Taxation \(Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures\) Bill](#) proposes to increase the thresholds for exclusion from the financial arrangements rules as a cash basis person. The Bill also proposes to increase the threshold for variable principal debt instruments to be treated as excepted financial arrangements. The legislative intent behind the proposals is to reduce compliance costs for smaller taxpayers and particularly as the thresholds have not been adjusted since 1999. The proposed amendments would increase the variable principal debt instrument threshold from \$50,000 or less to \$100,000 or less. For a cash basis person the income and expenditure threshold would increase from the current \$100,000 or less to \$200,000 or less. The absolute value threshold would increase from \$1,000,000 or less to \$2,000,000 or less and the deferral threshold would increase from \$40,000 or less to \$100,000 or less. The proposed amendments would apply from the 2026–27 and later income years.

A cash basis person is not required to apply a spreading method to a financial arrangement, unless an election to do so is made. The absence of the spreading requirement applies to the cash basis person as both a lender and a borrower. A cash basis person can account for income when it is received and for expenditure when it is paid during the life of a financial arrangement. A cash basis person is still required to undertake a base price adjustment when the financial arrangement matures or is disposed of.

Example:

Mr TP invests in a zero-coupon loan with a face value of \$150,000, maturing in 2 years, for an outlay of \$120,000. Under the financial arrangements rules, the \$30,000 return on the investment should be spread over the 2-year term of the loan. However, if Mr TP is a cash basis person, he will only return the income when it is received upon repayment of the loan. The return is recognised upon calculation of the base price adjustment when the loan is repaid.

A cash basis adjustment may be required when a person becomes a cash basis person or ceases to be one.

Required thresholds

A cash basis person is a person whose financial arrangements do not exceed prescribed values set out in [s EW 57\(1\)–\(3\)](#). Any taxpayer can be a cash basis person, not just natural persons.

There are 2 aspects to the criteria for classification as a cash basis person. Firstly, the person must satisfy one of the following prescribed values thresholds:

- # income and expenditure under all financial arrangements for the income year does not exceed \$100,000, or
- # the value of all financial arrangements on every day of the income year does not exceed \$1 million, with that value being determined on the basis of:
 - # face value for a fixed principal financial arrangement
 - # the amount owing for a variable principal debt instrument, and
 - # the value determined under the old financial arrangements rules if they apply to the financial arrangement.

These thresholds apply to all financial arrangements to which the person is a party during the income year. The financial arrangements will include any financial arrangements that are subject to the old financial arrangements rules.

Secondly, in addition to satisfying one of the above prescribed values thresholds, there is a deferral threshold requirement that the difference between the accrual and cash treatments cannot exceed \$40,000 for the income year.

The deferral threshold requirement is determined by applying a formula to each of the person's financial arrangements. The total of the outcomes of the formula cannot exceed \$40,000. The formula is applied as follows:

$$(\text{accrual income} \# \text{cash basis income}) + (\text{cash basis expenditure} \# \text{accrual expenditure})$$

where:

accrual income is the amount that would have been income if the person had chosen to apply the yield to maturity method, the straight-line method or an approved method

cash basis income is the amount that would have been income determined on a cash basis

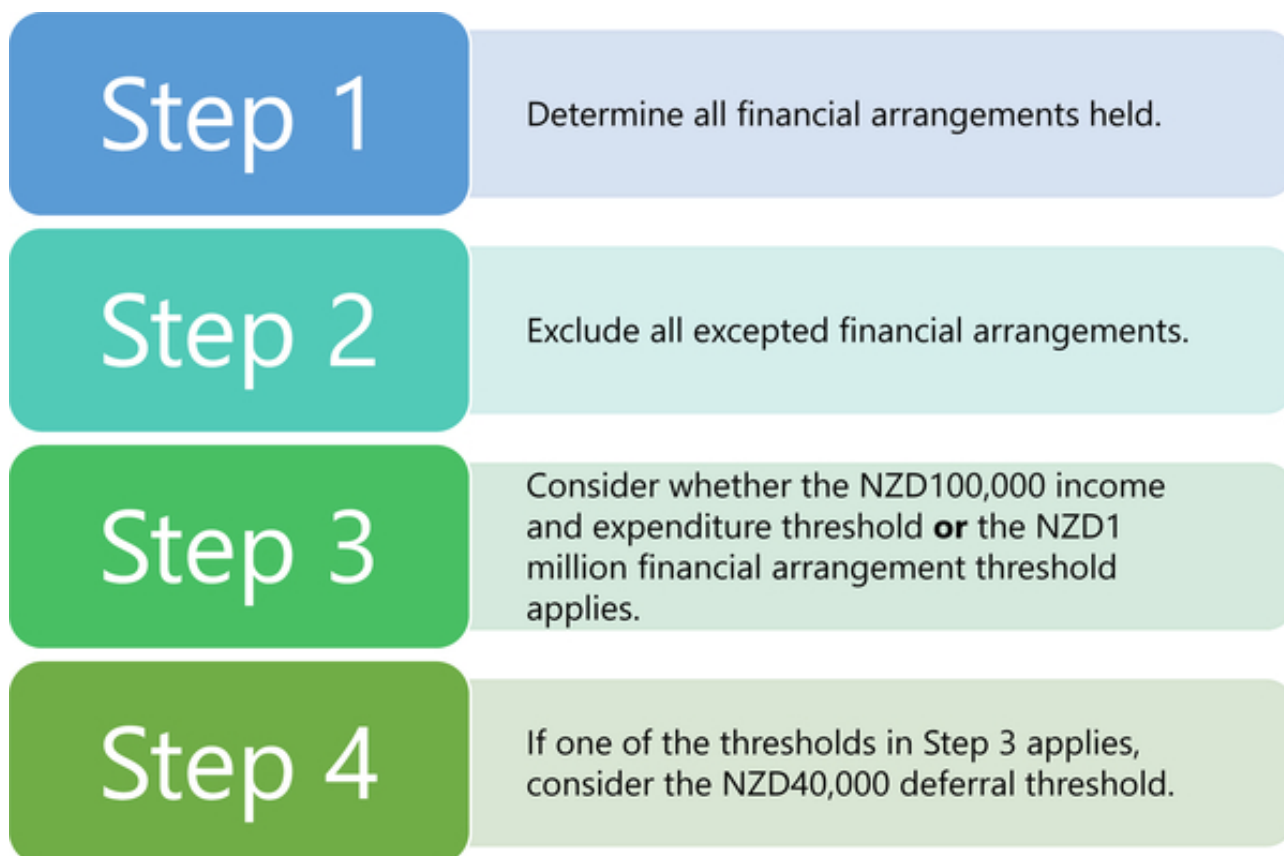
cash basis expenditure is the amount that would have been expenditure incurred on a cash basis, and

accrual expenditure is the amount that would have been expenditure incurred if the person had chosen to apply the yield to maturity method, the straight-line method or an approved method.

Interpretation Statement [IS 22/05](#): "Cash basis persons under the financial arrangements rules" explains when a taxpayer can account for income and expenditure from a financial arrangement on a cash basis rather than on an accrual basis. The interpretation statement also goes through thresholds in detail.

A fact sheet, [IS 22/05 FS](#): "Cash basis persons under financial arrangement rules", accompanies the statement and sets out the 4 steps required to determine if a taxpayer qualifies to be a cash basis person:

Figure 1 - The 4 steps



For a discussion on excepted financial arrangements, see [16-065](#). It is important to note that some excepted financial arrangements have specific criteria attached, for example a variable principal debt instrument (VPDI) like a bank account earning interest, will only be an excepted financial arrangement if the total value

of all VPDIs are \$50,000 or less on every day in an income year. If this threshold is exceeded, then the financial arrangement will need to be included in the formula.

The following supporting principles are applied when determining if both the prescribed values thresholds and deferral threshold are met:

- # where the trustee of a bare trust is party to a financial arrangement, the value of the arrangement and any income or expenditure arising is attributed to the beneficiary of the trust to the extent of the beneficiary's share in the beneficial interest of the arrangement

- # where a person is a beneficiary of a trust, other than a bare trust, whose trustee is a party to a financial arrangement, the value of the arrangement and any income that is trustee or beneficiary income under the trust rules is excluded from the calculations, and

- # where a person is party to a financial arrangement as a trustee, the following are excluded from the calculations:

- # the value of the arrangement, if it produces trustee or beneficiary income under the trust rules

- # income that is trustee or beneficiary income under the trust rules

- # the value of the arrangement, if expenditure is incurred under it, and

- # expenditure incurred under the arrangement.

A testamentary trustee will be a cash basis person if the deceased was a cash basis person and the thresholds discussed above were met at the time of death. However, treatment of the trustee as a cash basis person cannot extend beyond the period encompassing the year of death and the following 4 income years (s [EW 60](#)).

The Commissioner may treat a person who would otherwise be a cash basis person for a class of financial arrangements as not being a cash basis person if the class has been structured and promoted to defer an income tax liability, or the parties to a financial arrangement are associated and the person's calculation of income and expenditure is different to the associated party.

Election to apply a spreading method

A cash basis person may elect to apply a spreading method to all financial arrangements to which the person is a party (s [EW 61](#)). To make the election, the person calculates a cash basis adjustment. No election may be made for a financial arrangement that is subject to a base price adjustment calculation.

The change of status applies to all current financial arrangements of the person, followed by all subsequent financial arrangements. However, the election may be revoked by notice with a year's return of income. In that event, the revocation applies to all financial arrangements the person enters into after the income year in which the notice is given.

Cash basis adjustment

Interpretation Statement [IS 22/05](#) also covers the circumstances when a cash basis person is required to perform a cash basis adjustment. There are 3 circumstances that may require a cash basis adjustment. The effect of the adjustment is to adjust a person's income or expenditure from the start of the arrangement to the end of the current income year for the taxpayer's new method of accounting, or new status.

A cash basis adjustment must be calculated by a person if, in an income year:

- # they become a cash basis person,

- # they cease to be a cash basis person, or

- # they choose to use a spreading method.

The cash basis adjustment is calculated in relation to all financial arrangements to which the person was a party at the end of both the current and prior income year. However, no adjustment is calculated for a financial arrangement that is already subject to a spreading method.

A cash basis adjustment is also calculated for a person who becomes a cash basis person in an income year. Again, this is done for all financial arrangements to which the person was a party at the end of both the current and prior income year. However, no cash basis adjustment is calculated for a person who becomes a cash basis person:

- # if the person chooses to continue to apply a spreading method
- # for a financial arrangement that is already being accounted for on a cash basis.

A person will not be a cash basis person if they do not calculate a required cash basis adjustment.

The cash basis adjustment is calculated using the following formula:

$$\text{adjusted income} \# \text{adjusted expenditure} \# \text{previous income} + \text{previous expenditure}$$

where:

adjusted income is:

for a person who becomes a cash basis person, the amount that would have been income derived by the person from the financial arrangement if the person had been a cash basis person from the date they became a party to the financial arrangement until the last day of the income year for which the calculation is made

for a person who ceases to be a cash basis person, the amount that would have been income from the financial arrangement if the person had used a spreading method from the date they became a party to the financial arrangement until the last day of the income year for which the calculation is made

adjusted expenditure is:

for a person who becomes a cash basis person, the amount that would have been expenditure incurred under the financial arrangement if the person had been a cash basis person from the date on they became a party to the financial arrangement until the last day of the income year for which the calculation is made

for a person who ceases to be a cash basis person, the amount that would have been expenditure incurred under the financial arrangement if the person had applied a spreading method from the date on they became a party to the financial arrangement until the last day of the income year for which the calculation is made

previous income is income derived under the financial arrangement in previous income years, and **previous expenditure** is expenditure incurred under the financial arrangement in previous income years.

Accounting for a cash basis adjustment

Application of the cash basis adjustment produces the only income or expenditure under the relevant financial arrangement for the income year. A cash basis adjustment that is:

- # positive is income of the person, and
- # negative is expenditure incurred by the person.

Law: IT07 ss [EW 54](#)–[EW 63](#)

Last reviewed on 31 December 2025

Spreading methods for financial arrangements generally [¶6-125]

[¶6-125]

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A spreading method is the method of calculating and allocating income and expenditure under a financial arrangement over the term of the financial arrangement. Application of a spreading method implements the first purpose of the financial arrangements rules to achieve a fair and reasonable allocation so as to prevent the deferral of income or the advancement of expenditure. The result of a spreading method for an income year is:

- # income derived by the person in the income year, or
- # expenditure incurred by the person in the income year.

Once adopted, a spreading method must be applied on a consistent basis. The method must be used for all financial arrangements that are of the same or similar nature. It is possible to change a spreading method. Upon doing so, a spreading method adjustment is required ([¶6-205](#)).

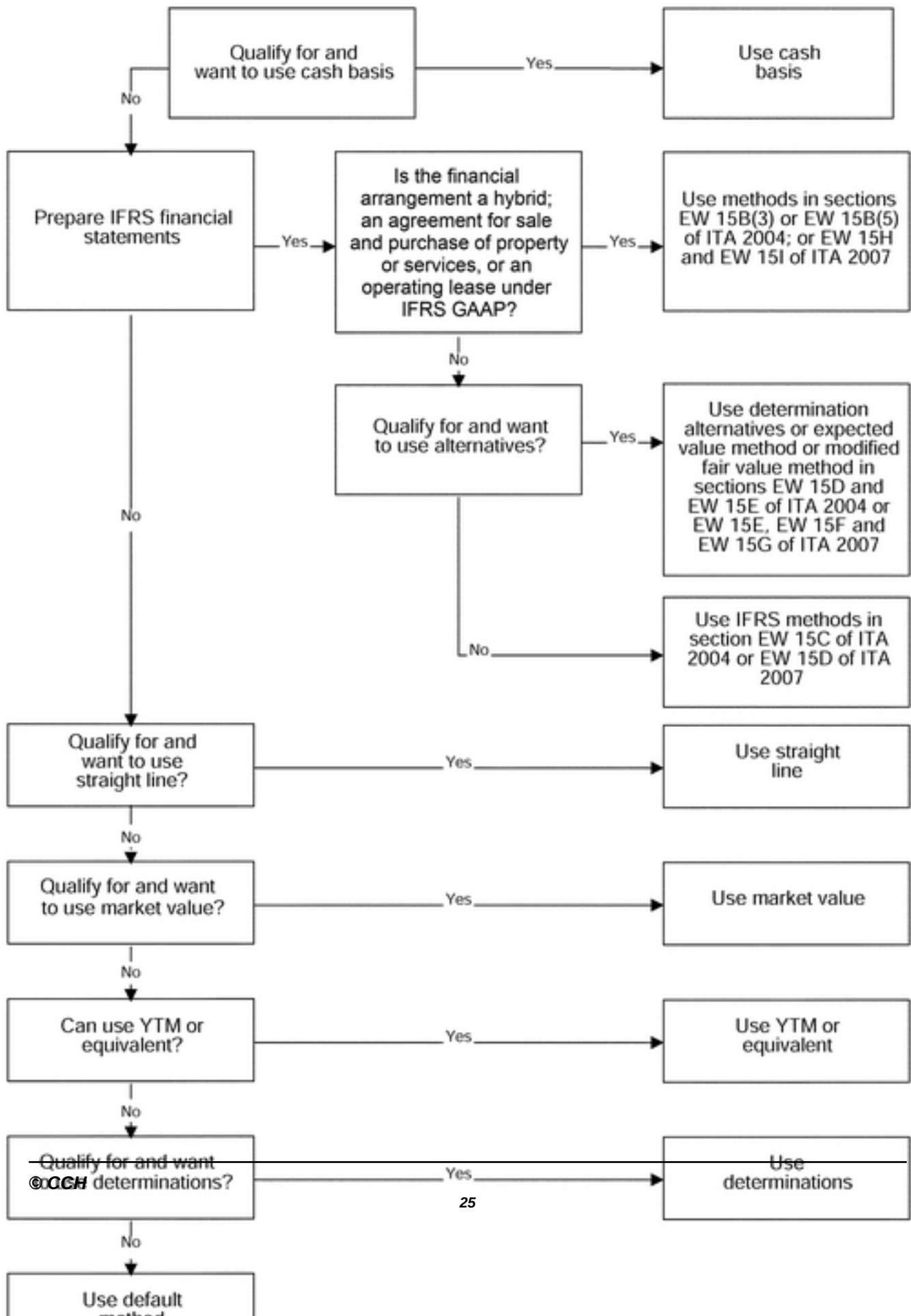
There is a hierarchy to the spreading methods in the sense that a method must be applied if the circumstances applicable to the method are satisfied and, if not, the possible application of the next method must be considered.

Generally, taxpayers that adopt the New Zealand equivalent to International Financial Reporting Standards (NZ IFRS) timing rules for accounting purposes have been required to apply those rules for tax purposes from the 2007–08 income year, unless they qualified for and chose to apply another spreading method based on an approved existing determination or one of 2 specific alternative methods ([¶6-130](#)).

Taxpayers who do not prepare IFRS accounts apply the other spreading methods set out in the financial arrangements rules except that since the 2007–08 income year they have not had the option of using the financial reporting method ([¶6-184](#)).

The following flowchart summarises the spreading methods available to different taxpayers, and the order in which they can be adopted.

Financial arrangement spreading rules



[Source: *Tax Information Bulletin* ¶218-144 Vol 21, No 8, October/November 2009, Pt II at 126.]

Choice between methods

Limited guidance is given on which spreading method is to be applied to a financial arrangement under the financial arrangements rules. Where the person is not required to apply the IFRS method and is eligible to apply any of the following methods, the person can choose which one to adopt. The methods are:

- # the yield to maturity method or an alternative to that method ([¶16-135](#))
- # the straight-line method ([¶16-145](#))
- # a market value method ([¶16-153](#))
- # a determination method ([¶16-165](#))
- # an alternative to a determination method ([¶16-175](#))
- # a financial reporting method ([¶16-184](#)), or
- # a default method ([¶16-190](#)).

Note that the Commissioner may make a binding ruling under s [91CC\(1\)\(b\)](#) of the TAA on the use of a spreading method for the purposes of ss [EW 15E](#) (Determination alternatives) and [EW 15I](#) (Mandatory use of yield to maturity method for some arrangements).

Consideration subject to a spreading method

Some guidance is also given on what is the subject of a spreading method. The spreading method must take into account:

- # all consideration paid or to be paid to the person in relation to the financial arrangement, but excluding non-contingent fees or, for the purposes of the IFRS method or the modified fair value method, non-integral fees (s [EW 15\(1\)\(a\)](#))
- # all consideration paid or to be paid by the person in relation to the financial arrangement, but excluding non-contingent fees or, for the purposes of the IFRS method or the modified fair value method, non-integral fees (s [EW 15\(1\)\(b\)](#))
- # all amounts remitted or to be remitted by the person under the financial arrangement, and
- # all amounts that would have been payable to the person under the financial arrangement if they had not been remitted by law.

A non-contingent fee is a fee that is for services provided for a person becoming a party to a financial arrangement and that is payable regardless of whether the financial arrangement proceeds. A common example of a non-contingent fee would be an establishment fee imposed by a financier upon reaching agreement with a client to enter into a formal loan agreement. For those taxpayers applying the IFRS method in s [EW 15D](#), the distinction between “contingent” and “non-contingent” fees is replaced by the distinction between “integral” and “non-integral” in order to align the tax treatment explicitly with the financial reporting treatment under NZIAS 39. A non-integral fee is a fee or transaction cost that, for the purposes of financial reporting, is not an integral part of the effective interest rate of a financial arrangement.

Law: IT07 ss [EW 14](#), [EW 15](#), [EW 19](#), [EW 24](#), [YA 1](#) (“non-contingent fee”, “non-integral fee”)

Last reviewed on 31 December 2025

IFRS method under financial arrangements rules [¶6-130]

[¶6-130]

[Click to open document in a browser](#)

Subject to some specific exceptions (see below), a person must use the International Financial Reporting Standards (IFRS) method of spreading income (or one of its specific alternatives) if the person uses IFRS to prepare financial statements and to report for financial arrangements.

The IFRS method requires a person to allocate an amount to an income year in accordance with the IFRS rules, subject to certain modifications. Those modifications, specified in s [EW 15D\(2\)](#), are:

- # Credit impairment adjustments must be reversed out for tax purposes and not allocated to an income year (unless the fair value method is used, the financial arrangements are not derivative instruments and the person's business includes dealing in those financial arrangements). Instead, credit impairment adjustments will only be deductible for tax purposes when the debt is written off as "bad" in accordance with s [DB 31](#) ([¶10-152](#)).
- # Borrowing costs are not capitalised under NZIAS 23.
- # For loans with below market interest rates, no account is taken of bookkeeping adjustments required under IFRS accounting rules, such as one-off adjustments to the value of the loan and notional payments or receipts of interest. These adjustments have no economic substance and do not reflect actual payments between parties, and s [EW 15D\(2\)\(ac\)](#) and [\(ad\)](#) ensure that these bookkeeping adjustments do not have a tax effect.
- # If the financial arrangement is an agreement for the sale and purchase of property or services in foreign currency (foreign currency ASAP), or an IFRS designated FX hedge for a foreign currency ASAP, ss [EW 32](#) and [EW 33B](#) apply to value the relevant property or service for the IFRS rules. Section [EW 33B](#) also provides rules for subsequently adjusting the treatment of the relevant hedge ([¶16-400](#)).
- # An amount allocated to equity, equity reserves or comprehensive income under the fair value method must be allocated to an income year for tax purposes.

The definition of impaired credit adjustment has been expanded to include both a decline in credit quality and an improvement in credit quality (s [EW 15D\(3\)\(a\)](#)). This ensures that reversals of impaired credit adjustments for financial arrangements accounted for under the fair value method are non-assessable to the extent they offset a previous decline. Increases in credit quality above, or in the absence of, a previous decline will still be required to be allocated to an income year and will remain assessable.

Exceptions to the IFRS method

In some cases, an IFRS person *is required* not to apply the IFRS method and instead must apply a different specified method of spreading income. In other circumstances, an IFRS person *may choose* to apply a different specified method to the IFRS method.

Compulsory alternative methods

An IFRS person *must* use one of the following methods for spreading the income in respect of a financial arrangement, if the terms of the method allow (s [EW 15H](#)):

- # *Determination* [G5C](#): "Mandatory Conversion Convertible Notes".
- # *Determination* [G22](#): "Optional Conversion Convertible Notes Denominated in New Zealand Dollars Convertible at the Option of the Holder" ([¶16-218](#)).
- # *Determination* [G22A](#): "Optional Convertible Notes Denominated in New Zealand Dollars" ([¶16-218](#)).
- # An alternative method to one of the determinations set out above (or its successor) so long as it does not produce a materially different result and has regards to the purposes of the financial arrangements rules.

If one of the compulsory determination methods set out above does not apply and the financial arrangement (s [EW 15I](#)):

- # includes an excepted financial arrangement
- # is treated to some extent as an equity instrument under IFRS
- # is classified as an operating lease under NZ IFRS 16 and in the person's financial statements, or
- # is an agreement for the sale and purchase of property or services that is not a foreign ASAP (other than life financial reinsurance)

the IFRS person *must* apply one of the following compulsory methods to spread the income and expenditure in respect of the financial arrangement:

- # the yield to maturity method ([16-135](#))
- # *Determination G26*: "Variable Rate Financial Arrangement"
- # a determination made under s [90AC\(1\)\(bb\)](#) of the TAA or a binding ruling made under s [91CC\(1\)\(b\)](#) of that Act, or
- # an alternative method to one of the methods set out above so long as it does not produce a materially different result and has regard to the purposes of the financial arrangements rules.

Optional alternative methods

If an IFRS person is not required to use one of the compulsory alternative methods to the IFRS method, that person may qualify for one of the following optional alternative methods:

- # a determination alternative (or an alternative that is not materially different from a determination method). The determination methods available to an IFRS person are:
 - # *Determination G3*: "Yield to Maturity Method" (but only for New Zealand currency non-derivative financial arrangements from the 2009–10 income year, and *Determination G25*: "Variation in the terms of a financial arrangement" must be used when applying it)
 - # *Determination G9C*: "Financial Arrangements that are Denominated in a Currency other than New Zealand Dollars: An Expected Value Approach"
 - # *Determination G14B*: "Forward Contracts for Foreign Exchange and Commodities: An Expected Value Approach"
 - # *Determination G27*: "Swaps"
 - # a determination by the Commissioner under s [90AC\(1\)\(bb\)](#) of the TAA or a binding ruling made under s [91CC\(1\)\(b\)](#) of that Act, and
 - # an alternative method to one of the determinations set out above (or its successor) so long as it does not produce a materially different result and has regard to the purposes of the financial arrangements rules
- # the expected value method (s [EW 15F](#)), or
- # the modified fair value method (s [EW 15G](#)).

When the determination alternative is either *Determination G9C* or *Determination G14B*, the determination is modified under s [EW 15E\(3\)](#), and when it is *Determination G27*, it is modified under s [EW 15E\(3B\)](#).

To qualify for the expected value method or the modified fair value method, the IFRS person's financial arrangement must be denominated in a foreign currency or be a derivative instrument. It must not be a hedge or a foreign currency ASAP, and the IFRS person cannot be a dealer.

Consistency of use of IFRS method

A person who starts to apply the IFRS method or an IFRS determination method must continue to apply that method over the arrangement's remaining term until the base price adjustment is performed, unless they have a sound commercial reason for changing the method. A "sound commercial reason" includes starting or ceasing to prepare IFRS accounts.

The consistency requirements are modified by s [EZ 52B](#) in relation to the use of *Determination G3* in the 2009–10 income year, or from the 2008–09 income year for financial arrangements subject to a creditor workout (*Tax Information Bulletin* [¶218-101 Vol 21, No 8](#), October/November 2009, Pt II at 127).

Law: IT07 ss [EW 14](#), [EW 15B](#), [EW 15C](#), [EW 15D](#), [EW 15E](#), [EW 15F](#), [EW 15G](#), [EW 15H](#), [EW 15I](#), [EW 25B](#), [EW 26](#), [EZ 52B](#), [EZ 69](#), [EZ 69B](#), [EZ 75](#), [EZ 76](#)

Last reviewed on 31 December 2025

Yield to maturity or an alternative method under financial arrangements rules [¶6-135]

[¶6-135]

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To recognise the income or expenditure of a financial arrangement under the financial arrangements rules (provided the person is not required to use the International Financial Reporting Standards (IFRS) method or any of its alternatives ([¶6-130](#))), the person may apply:

- # the yield to maturity method, or
- # an alternative method to the yield to maturity method.

There are several criteria that an alternative method must satisfy before it can be adopted. The alternative method must be one that:

- # has regard to the principles of accrual accounting
- # conforms with commercially acceptable practice
- # results in the allocation to each income year of amounts that are not materially different from those that would have been allocated under the yield to maturity method, and
- # is also used by the person for financial reporting purposes for the same or similar financial arrangements or, where not so used, the method:
- # is used for the same or similar financial arrangements
- # reflects the dominant purpose for entering into the financial arrangement
- # is not used for tax avoidance, and
- # is approved by the Commissioner, whether specifically or by a determination.

The yield to maturity method is described in *Determination G3*: “Yield to Maturity Method”. The determination continues to have application until a new determination is made, even though it was issued under the Income Tax Act 1976. The determination states the following principles:

- # the yield to maturity method applies to all financial arrangements where the amounts and dates are known not later than the first balance date of the issuer or holder (parties to the financial arrangement) after issue or acquisition, as the case may be, and determined in New Zealand currency
- # the approach adopted is to define a constant annual rate R representing the yield to maturity of all the cash flows in the financial arrangement with income derived and expenditure incurred being assumed to compound on the date of each payment
- # there is no explicit formula for a yield to maturity in terms of the cashflows, but the yield to maturity is defined as the discount rate at which the cashflows accumulate to zero, and
- # as part of the method, the amount of income derived or expenditure incurred to be compounded at the end of each period is calculated as a fraction F multiplied by the principal outstanding during the period. This income derived and expenditure incurred is then added to the principal outstanding for the next period (if one exists) and the final payment to equal the principal outstanding during the final period plus the income derived or expenditure incurred during that period.

Example:

TP Ltd provides PP Ltd with \$100,000, to be repaid after 3 years. PP Ltd agrees to repay TP \$133,100 at the beginning of year 4. The interest rate is 10% (constant). Since no interest is paid progressively, the interest charge is effectively compounded so as to give a total interest charge of \$33,100. The interest charge must be spread over 3 years in a manner which makes the interest rate invariable but the dollar interest charge changeable because of the increasing amounts of money lent to PP Ltd.

Beginning of year	Amount lent	Annual interest
	\$	\$
1	100,000	10,000
2	110,000	11,000

3	121,000	12,100
4	133,100	—
Total interest		<u>33,100</u>

The Commissioner has made some comments on the concept of materiality (*Tax Information Bulletin* [¶31-103 Vol 3, No 1](#), July 1991 at 4). The comments indicated that it is necessary to identify the difference between the income or expenditure from the financial arrangement calculated using either the yield to maturity or another method as prescribed by determination by the Commissioner in contrast with the accounting method adopted by the person. That difference will be regarded as materially different if it is equal to or greater than either 5% of the amount calculated according to the determination or \$500,000. That difference will not be regarded as being materially different if it is less than both 5% of the amount calculated according to the determination and \$500,000..

Law: IT07 ss [EW 16](#), [EW 23](#)

Last reviewed on 31 December 2025

Straight-line method under financial arrangements rules [¶6-145]

[¶6-145]

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A party to a financial arrangement may use the straight-line method to recognise income and expenditure if:

- # at no time during the income year does the total value of the person's financial arrangements exceed \$1.85 million
- # the straight-line method is used for all the person's financial arrangements for which they can use it that are held at the end of the income year, and
- # the person is not required to use the IFRS method (or any of its alternatives) ([¶6-130](#)).

When calculating total value:

- # the value of a fixed principal arrangement is its face value
- # the value of a variable principal debt instrument is its value on the day of valuation
- # the value of a financial arrangement subject to the old financial arrangements rules is the value as determined under those rules, and
- # all the person's financial arrangements must be taken into account regardless of which financial arrangement taxation regime applies when determining their value.

If the straight-line method is adopted for a financial arrangement, the person must continue to use that method for the arrangement's remaining term until they are required to perform a base price adjustments. This is the case even if the total value of financial arrangements held by the person subsequently exceeds the \$1.85 million threshold.

A change from the straight-line method to another spreading method is permitted only if there is written authorisation from the Commissioner to do so ([¶6-205](#)).

The straight-line method is explained in *Determination G24*: "Straight Line Method". The determination states the following principles:

- # the total finance charges may be apportioned over the term of the financial arrangement pro rata with the principal expected to be outstanding in each period between payments and the length of that period
- # for a variable rate financial arrangement interest payable in respect of a period is added to the total finance charges (excluding interest) which have been apportioned to that period
- # in all other cases, interest is included in the calculation of total finance charges, and
- # total finance charges include interest, any premium or discount and fees (excluding those deductible at the commencement of the loan) with interest payable under a variable rate financial arrangement excluded from the total finance charges to be apportioned because it is not known in advance.

Law: IT07 ss [EW 17](#), [EW 25](#)

Last reviewed on 31 December 2025

Market valuation method under financial arrangements rules [¶6-153]

[¶6-153]

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Income and expenditure under a financial arrangement may be recognised under a market valuation method, if all of the following criteria are satisfied:

- # one of the following applies:

- # the person's business includes dealing in financial arrangements of the same class, or

- # the financial arrangement is an exchange-traded option, a forward contract for foreign exchange or a futures contract

- # the parties to the financial arrangement are not associated persons

- # one of the following applies:

- # the Commissioner has, by a determination, approved the market, the method and the source of information used to determine market values, or

- # the person can demonstrate market prices that are reliable

- # the method conforms with commercially acceptable practice

- # the method will be used over the remaining term of the financial arrangement

- # the method is also used for financial reporting purposes for the same or similar financial arrangements or, if not so used, the method:

- # is used for the same or similar financial arrangements

- # reflects the dominant purpose for entering into the financial arrangement

- # is not used for tax avoidance, and

- # is approved by the Commissioner, whether specifically or by a determination, and

- # the person is not required to use the IFRS method (or any of its alternatives) ([¶6-130](#)).

Once adopted, the market valuation method must continue to be used for the remainder of the term of the financial arrangement. This is unless the Commissioner gives written authorisation permitting a change of method ([¶6-205](#)).

The Commissioner has explained that the availability of the market valuation method is restricted because of the need to limit bad debt deductions (*Tax Information Bulletin* [¶116-103 Vol 11, No 6](#), July 1999 at 16). Under the market valuation method, any decrease in market prices (including a decrease attributable to a decrease in creditworthiness) is recognised as expenditure. However, a decrease in creditworthiness is generally not recognised as expenditure under the bad debt deduction rules, except in the case of dealers. The Commissioner added that a party to forward contracts for foreign exchange, futures and exchange-traded options may also apply the market valuation method to those financial arrangements. These financial arrangements do not have any principal values, so the question of a bad debt deduction is not a consideration.

The Commissioner made further comments on the requirement that the party to the financial arrangement must be able to show that the market value used is reliable. The Commissioner said that the objective criteria that should be considered for determining whether markets are reliable include the following:

- # the number of participants in the market or having access to the market

- # the frequency of trading in the market

- # the existence of an appropriate regulatory body

- # the existence of industry standards regulating trading practices, and

- # the accessibility of sources of information to market participants.

The Commissioner concluded by emphasising that the overriding requirement is that the market value criteria must be reliable.

The person must keep sufficient records in the English language to enable the Commissioner to verify the reliability of the market values.

Determinations made by the Commissioner incorporating a market valuation method include *Determination G7C*: “Futures and Options Markets” (an amalgamation of former *Determinations G7B* and [G18](#)) and *Determination G19*: “Exchange Traded Option Contracts”.

The market valuation method is the most likely method to be adopted by dealers in the forward and futures market and in other financial arrangements such as government stock. These dealers can use the commonly accepted method of “mark to market”. This means that the gain or loss from holding a financial arrangement is measured as the difference between its market value at the beginning of the period and its market value at the end of the period.

Example:

TP Bank is a dealer in government stock, and it satisfies the criteria allowing the use of a market value method. On 1 April TP Bank purchases government stock with a face value of \$1 million and a coupon rate of 8% payable 6-monthly in arrears. The amount paid for the stock is \$1.1 million. This amount does not include accrued interest. At the following 31 March the market price of the stock is \$1.2 million, with TP Bank already receiving \$80,000 in interest payments. Under the market value approach, the amount of income that TP Bank has derived is \$180,000, being the interest at market value.

Law: IT07 ss [EW 18](#), [EW 23](#), [EW 25\(4\)](#)

Last reviewed on 31 December 2025

Determination method under financial arrangements rules [¶6-165]

[¶6-165]

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A party to a financial arrangement may use a determination method (a method set out in one of the Commissioner's determinations) to recognise income and expenditure if:

- # the person cannot use the yield to maturity method or an alternative and cannot, or chooses not to, use the straight-line method or a market valuation method, and
- # the person is not required to use the IFRS method (or any of its alternatives) ([¶6-130](#)).

Once adopted, the determination method must continue to be applied to the financial arrangement and similar financial arrangements. A change of spreading method may be possible if there is a sound commercial reason for the change and, if so, a spreading method adjustment is required ([¶6-205](#)).

The determination may be one that the Commissioner issued in general terms. Alternatively, the person may have made a specific application for issue of a determination incorporating a suggested method.

Determinations issued include:

- # *Determination* [G5C](#): "Mandatory Conversion Convertible Notes"
- # *Determination* [G12](#): "Accounting for Financial Arrangements in the Absence of a Determination", and
- # *Determination* [G22A](#): "Optional Convertible Notes Denominated in New Zealand Dollars".

Note that taxpayers who prepare accounts that comply with NZ IFRS have the option of using only certain specified determination methods (or an alternative that is not materially different from those methods) ([¶6-130](#)).

Law: IT07 s [EW 20\(1\)](#)

Last reviewed on 31 December 2025

Alternative to a determination under financial arrangements rules [¶6-175]

[¶6-175]

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Income or expenditure under a financial arrangement may be recognised under an alternative method to a determination method, but only if:

- # the person cannot use the yield to maturity method or an alternative method to it ([¶6-135](#))
- # the person:
 - # may not use the straight-line method ([¶6-145](#)) or a market valuation method ([¶6-153](#)), or
 - # may use the straight-line method or a market valuation method, but chooses not to do so
 - # the person is not required to use the IFRS method (or any of its alternatives) ([¶6-130](#))
 - # the alternative has regard to the principles of accrual accounting
 - # the alternative conforms with commercially acceptable practice
 - # the alternative results in the allocation to each income year of amounts that are not materially different from those that would have been allocated using the determination method, and
 - # the alternative is also used for financial reporting purposes for the same or similar financial arrangements or, if not so used, the method:
- # is used for the same or similar financial arrangements
- # reflects the dominant purpose for entering into the financial arrangement
- # is not used for tax avoidance, and
- # is approved by the Commissioner, whether specifically or by a determination.

Once adopted, the method must be used for the financial arrangement and similar financial arrangements. A change of spreading method may be possible if there is a sound commercial reason for it and, if so, a spreading method adjustment is required ([¶6-205](#)).

Law: IT07 ss [EW 20\(2\)](#), [EW 23](#)

Last reviewed on 31 December 2025

Financial reporting method under financial arrangements rules [¶6-184]

[¶6-184]

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A financial reporting method may be used to recognise income or expenditure under a financial arrangement if:

- # the person cannot use the yield to maturity method or an alternative to that method (see [¶6-135](#))
- # the person:
 - # may not use the straight-line method (see [¶6-145](#)) or a market valuation method (see [¶6-153](#)), or
 - # may use the straight-line method or a market valuation method, but chooses not to do so
 - # the person is not required to use the IFRS method (or any of its alternatives) (see [¶6-130](#))
 - # the Commissioner has not made a determination for the financial arrangement
 - # the method conforms with commercially acceptable practice
 - # the method is also used for financial reporting purposes for the same or similar financial arrangements or, if not so used, the method:
 - # is used for the same or similar financial arrangements
 - # reflects the dominant purpose for entering into the financial arrangement
 - # is not used for tax avoidance, and
 - # is approved by the Commissioner, whether specifically or by a determination, and
 - # the method allocates a reasonable amount to each income year over the term of the financial arrangement.

Law: IT07 ss [EW 21](#), [EW 23](#)

Last reviewed on 31 December 2025

Default method under financial arrangements rules [¶6-190]

[¶6-190]

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A default method may be used to recognise income or expenditure under a financial arrangement if:

- # the person cannot use the yield to maturity method or an alternative to that method ([¶6-135](#))
- # the person:
 - # may not use the straight-line method ([¶6-145](#)) or a market valuation method ([¶6-153](#)), or
 - # may use the straight-line method or a market valuation method, but chooses not to do so
 - # the person may not use a determination method ([¶6-165](#)), an alternative to a determination method ([¶6-175](#)) or a financial reporting method ([¶6-184](#))
 - # the method conforms with commercially acceptable practice, and
 - # the method allocates a reasonable amount to each income year over the term of the financial arrangement.

The default method must continue to be used for the financial arrangement and similar financial arrangements. A change of spreading method may be possible if a sound commercial reason exists and, if so, a spreading method adjustment is required ([¶6-205](#)).

Law: IT07 s [EW 22](#)

Last reviewed on 31 December 2025

Change of spreading method under financial arrangements rules [¶6-205]

[¶6-205]

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A change in the spreading method applied to a financial arrangement is possible and, if a change occurs, a spreading method adjustment must be calculated.

A change from the straight-line method or a market value method requires the Commissioner's authorisation, as long as the person does not change to an IFRS method under s [EW 15B \(¶6-130\)](#). It may be anticipated that the Commissioner will not readily approve a change of either method. The provisions on spreading methods emphasise a continuation of these 2 methods even if, for example, the monetary limit for the straight-line method is exceeded. There may not be many circumstances that overcome the themes of continuity and consistency that are applicable to the straight-line method and a market valuation method.

A change may be made from the IFRS method, yield to maturity method, a determination method, an alternative method, a financial reporting method or a default method to another spreading method. This is provided there is a sound commercial reason for the change in method.

No guidance is given on what constitutes a sound commercial reason beyond confirmation that it does not include the pursuit of taxation benefits but does include starting or ceasing to prepare IFRS accounts and starting to use the IFRS method (or one of its alternatives) for the first time. One possibility is a significant change of circumstances since the financial arrangement commenced. A person using a market valuation method, for example, may experience a significant change in market circumstances that make it inappropriate to continue with the method. Where a change in method is thought to be justified, all information concerning the reason for the change must be retained.

Spreading method adjustment

A person who changes from the IFRS method, yield to maturity method, a determination method, an alternative method, a financial reporting method or a default method to another method must calculate a spreading method adjustment. The amount produced by the calculation becomes the person's income or expenditure under the financial arrangement for the income year in which the change is made. The outcomes are that:

- # a positive amount under the calculation is income, and
- # a negative amount under the calculation is expenditure incurred.

The spreading method adjustment is calculated using the following formula:

income (new method) # expenditure (new method) # income (old method) + expenditure (old method)

where:

income (new method) is the total income that the person would have derived from the financial arrangement had the new method been applied from the date on which the person became a party to the financial arrangement until the last day of the income year for which the calculation is made

expenditure (new method) is the total amount that would have been expenditure incurred by the person under the financial arrangement had the new method been applied from the date on which the person became a party to the financial arrangement until the last day of the income year for which the adjustment is made

income (old method) is the total income the person derived from the financial arrangement in previous income years, and

expenditure (old method) is the total expenditure the person has incurred under the financial arrangement in previous income years.

The spreading method adjustment does not apply to a change:

- # from the fair value method (under the IFRS method) where the financial arrangement is not subject to a creditor workout, or
- # from the market value method to an IFRS method.

Instead a base price adjustment must be performed (s [EW 29\(13\)](#), [¶6-358](#) and [¶6-370](#)).

Note that in relation to optional convertible notes, when changing from using *Determination G22* to *Determination G22A*, no spreading method adjustment is required (s [EZ 52C](#) and [¶6-218](#)).

Law: IT07 ss [EW 26](#), [EW 27](#), [EZ 52C](#)

Last reviewed on 31 December 2025

Currency fluctuations under financial arrangements rules [¶6-213]

[¶6-213]

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An expected value approach may be adopted for the recognition of currency fluctuations if payment dates are known before the first balance date and forward rates for the foreign currency can be determined:

Determination G9C: “Financial Arrangements that are Denominated in a Currency other than New Zealand Dollars: An Expected Value Approach”. If the expected value approach is not available, it may be necessary to recognise currency fluctuations on an annual, and unrealised, basis under *Determination G9A*: “Financial Arrangements that are Denominated in a Currency or Commodity other than New Zealand Dollars”. That second determination would need to be followed, unless another determination is required to be applied.

Currency fluctuations under a contract to buy or sell foreign currency, or commodities in the future, are subject to *Determination G14B*: “Forward Contracts for Foreign Exchange and Commodities: An Expected Value Approach”. A foreign exchange forward contract is a contract for the sale of a currency. The difference between a forward contract and an ordinary conversion of one currency to another is that, in the case of a forward agreement, delivery is at a specified date in the future.

Determination G9C and *Determination G14B* are discussed by the Commissioner in *Tax Information Bulletin ¶165-124 Vol 16, No 5*, June 2004, p 72.

Expected value approach — Determination G9C

Determination G9C may be applied if the rights and obligations under the financial arrangement are fixed or otherwise determined in a foreign currency. It must also be the case that payment dates under the financial arrangement are known not later than the first balance date after the person becomes a party to the financial arrangement and forward rates for the foreign currency can be determined. The determination cannot be applied to:

- # a futures contract
- # a security arrangement
- # a financial arrangement denominated in a currency where the forward rates of the currency cannot be determined
- # unless the determination specifically provides otherwise, any financial arrangement that is covered by one of the following:
 - # *Determination G14*: “Forward Contracts for Foreign Exchange and Commodities”
 - # *Determination G19*: “Exchange Traded Option Contracts”
 - # *Determination G20*: “Discounted Value of Amounts Payable in Relation to Trade Credits Denominated in a Foreign Currency”
 - # *Determination G21*: “Discounted Value of Amounts Payable in Relation to Deferred Property Settlements Denominated in a Foreign Currency”
 - # *Determination G21A*: “Agreements for Sale and Purchase of Property Denominated in Foreign Currency: Discounted Value of Amounts Payable”
 - # *Determination G27*: “Swaps”
 - # *Determination G29*: “Agreements for Sale and Purchase of Property Denominated in Foreign Currency: Exchange Rate to Determine the Acquisition Price and Method for Spreading Income and Expenditure”.

The explanation in *Determination G9C* outlines how the expected value approach is to be applied. The explanation states that it is necessary to:

- # determine the expected component by taking into account all the base currency payments and payment dates in relation to the financial arrangement when the person becomes a party to the financial arrangement
- # use the initial interest rate to calculate the base currency payments under a variable rate financial arrangement denominated in a base currency other than New Zealand dollars (NZD) and assume that this rate will apply throughout the term of the financial arrangement
- # translate the base currency payments into expected NZD payments on the basis of the forward rates available at the time the person becomes a party to the financial arrangement
- # spread the expected NZD net amount under the yield to maturity method and allocate it to each income year over the term of the financial arrangement on a daily basis, and
- # measure the unexpected component at the end of each balance date as the difference between actual and expected NZD payments.

Annual recognition of currency fluctuations — Determination G9A

Determination G9A applies to a financial arrangement expressed in a foreign currency, where every right or obligation in relation to the financial arrangement is fixed in the foreign currency. The determination does not apply to:

- # a forward or future contract
- # a futures contract
- # a swap contract
- # an option, or
- # a security arrangement.

The explanation in the determination states that the determination sets out a method for calculating the income or expenditure of a financial arrangement where any rights and obligations of the parties are expressed in a base currency other than NZD. The base currency might be a foreign currency or a commodity. Income and expenditure is calculated for each income year in accordance with the Income Tax Act and other determinations where appropriate, in the base currency. This income or expenditure, together with the opening tax book value and adjusted for amounts paid or received during the income year, is used to calculate the closing tax book value of the financial arrangement as at year end. For a conventional loan, the closing tax book value is equivalent to the outstanding principal and accrued interest under the loan as at year-end, in the base currency. The closing tax book value is converted into NZD at the spot rate applicable at that date. The income or expenditure in NZD is determined from:

- # the amounts paid and/or received during the income year, converted to NZD on the dates of payment, and
- # the net change in the amount of closing tax book values in NZD during the income year.

This brings to account all accrued gains and losses on the financial arrangement, including gains and losses arising from currency translation.

Foreign currency loans used to finance foreign residential rental property

Interpretation Statement [IS 20/07](#): “Income tax – Application of the financial arrangements rules to foreign currency loans used to finance foreign residential rental property” is one of 3 items addressing a range of tax issues a New Zealand tax resident individual may face if they own foreign residential rental property ([115-232](#)).

The statement provides more detailed guidance on when and how the financial arrangements rules apply to foreign currency loans that New Zealand tax resident individuals use to finance a foreign residential rental property. It considers the circumstances when such a loan may be an excepted financial arrangement

under s [EW 5\(17\)](#) of the Income Tax Act 2007 (ie where the borrower is a transitional resident) or under s [EW 5\(25\)](#) (ie when the loan is a variable principal debt instrument). Assuming a loan is not an excepted financial arrangement, the item considers the test for determining whether a person is a cash basis person to determine whether a spreading method must be applied during the term of the loan. The application of *Determination G9A* and the base price adjustment are then considered. A number of examples are also included.

Forward contracts for foreign exchange and commodities — Determination G14B

Determination G14B applies to a forward contract for foreign exchange or commodities, being a contract to buy or sell specified amounts of foreign currency or commodities at some future date at a specified rate. The determination does not apply to:

- # a futures contract
- # a security arrangement
- # a forward contract for foreign exchange and commodities where the forward rates of the currency cannot be determined, or
- # a forward contract covered by *Determination G19*, *Determination G20*, *Determination G21*, *Determination G21A*, *Determination G27* and *Determination G29* (except as specifically provided by those determinations).

The explanation in the determination outlines the method to be applied to a forward contract as follows:

- # any offsetting of payments between the parties is ignored, so that every amount that would be payable under the forward contract is taken into account
- # one of the currencies under the forward contract must be chosen as a base currency
- # the expected component is determined by taking into account all the base currency payments and payment dates in relation to the forward contract when the person becomes a party to the contract, with those payments comprising:
 - # the base currency value of the payment or receipt, if any, made in consideration of entering into the contract
 - # the base currency value of the non-base currency payment to be made under the contract valued at the forward rate
 - # the base currency value of the non-base currency payment to be made under the contract valued at the contract rate
 - # where the base currency is not NZD, the expected base currency payments must be converted into expected NZD payments on the basis of forward rates available at the time the person becomes a party to the contract, and
 - # the expected NZD net amount is spread over the term of the forward contract.

Futures contracts

No determination has been issued for futures contracts.

Swaps — Determination G27

A swap involves the exchange of payment streams without necessarily involving an exchange of principal. For example, a swap could involve the exchange of USD receivables for NZD, at a specified rate. The effect would be to remove the potential for foreign-exchange-related fluctuations. *Determination G27* applies to swaps that do not involve commodities, equity, property, more than 2 currencies, or any amortisation or accretion of principal.

The determination provides 4 tax accounting methods to spread income or expenditure arising from common swap transactions.

The Commissioner accepts that a conventional swap agreement of interest flows does not, in the appropriate context involving a non-resident, attract non-resident withholding tax. The swap payments are not pursuant to money lent (*Tax Information Bulletin* [¶84-107 Vol 8, No 4](#), September 1996 at 13).

Last reviewed on 31 December 2025

Mandatory convertible notes under financial arrangements rules — Determination G5C [¶6-215]

[¶6-215]

[Click to open document in a browser](#)

Determination G5C is a determination concerning mandatory conversion convertible notes. These are notes that are redeemable only in shares in the issuing company or some other company. The determination is restricted in its application to notes under which the coupon interest rate is neither less than 5% pa (or half the interest rate the issuer would have paid on cash repayment borrowings if lower) nor more than 15% pa (or double the interest rate the issuer would have paid on cash repayment borrowings if higher).

The determination treats all amounts in respect of a note as relating to the underlying shares (and therefore outside the financial arrangements rules), with the exception of any coupon interest payments. Income and expenditure on the note are calculated by a pro rata daily apportionment of the coupon interest payment to income years. Any changes in the value of the note are assumed to be attributable to the equity component of the note.

Several specific determinations on mandatory convertible notes have been released. See the full list of determinations issued by Inland Revenue (IR) at [¶6-600](#).

Last reviewed on 31 December 2025

Optional convertible notes under financial arrangements rules — Determination G22A [¶6-218]

[¶6-218]

[Click to open document in a browser](#)

Determination [G22A](#) deals with optional convertible notes (OCNs) where conversion into company shares is at the option of the holder and the convertible note is denominated in New Zealand dollars.

Application of determination

Determination [G22A](#) applies to an OCN that contains either an option that can be exercised only at maturity (a European-style warrant) or an option that allows the holder to exercise the warrant component during the OCN's term (an American-style warrant).

The determination recognises that a convertible note has a debt and equity component; the equity component is the option (or warrant) to receive repayment of the debt in the form of new shares. The determination prescribes methods of separating the consideration under the convertible note into debt and equity components. The value of the debt component is used to calculate financial arrangement income or expenditure during the term of the note and the base price adjustment at the end of the term.

Generally, if the issuer and the subscriber are members of the same wholly-owned group of companies or if the exercise of the option would result in there being no change in the ownership of the company, no value will be attributed to the OCN's equity component. Accordingly, all consideration paid by, to or on behalf of any person under the OCN is attributed to the debt component. However, this rule does not apply in circumstances where the subscriber subsequently sells the notes to third parties within 93 days of acquisition.

If the value of the OCN's equity component is not zero, the equity component's value (for both company and holder) is the amount by which the consideration paid by the holder exceeds the debt component's present value. The present value is calculated as required by another determination by reference to the debt component's cashflows. Cashflows consist of the following payments payable over the term of the OCNs:

- # the cash redemption amount
- # the coupon interest payments (if any), and
- # any contingent fees.

The income or expenditure for each of the years before the final year of the term must be calculated by reference to the debt component's value. The calculation must be made using the yield to maturity method (or an alternative method producing results that are not materially different).

The determination provides for the following consideration flows for calculating the base price adjustment:

- # where the OCN contains a European-style warrant, the determination assumes that the debt component of the consideration paid or received by the issuer or holder on maturity is the face value of the note. If the holder elects to be repaid with new shares, any difference between the value of the shares and the OCN's face value is treated as being attributable to the equity component, and
- # where the OCN contains an American-style warrant, the determination assumes that the debt component of the consideration paid or received by the issuer or holder on the exercise date is the present value of the OCN debt component.

The overall effect of the determination is that the financial arrangements rules treat an OCN as if it were a bond that:

- # is issued at a price that excludes any amount paid or received for the OCN's equity component (if any), and
- # is settled for its face value (or its present value if converted before the end of its term).

The Alesco case

In *Alesco New Zealand Ltd v C of IR*, the Court of Appeal held that Alesco New Zealand Ltd (Alesco NZ) failed to prove that its use of optional convertible notes (OCNs) was not a tax avoidance arrangement. In upholding the High Court's decision and dismissing Alesco NZ's appeal, the Court of Appeal said that Alesco NZ had used the financial arrangements rules and (the former) *Determination G22* to claim tax deductions in a way that was outside Parliament's contemplation (*Alesco New Zealand Ltd v C of IR* [\(2013\) 26 NZTC ¶21-003](#)).

The Frucor decision

In the High Court decision in *Frucor Suntory New Zealand Ltd v C of IR* [\(2018\) 28 NZTC ¶23-078](#), the taxpayer successfully argued that the use of convertible notes was not a tax avoidance arrangement. However, the Court of Appeal later overturned the decision in *C of IR v Frucor Suntory New Zealand Ltd* [\[2020\] NZCA 383](#); [\(2020\) 29 NZTC ¶24-075](#). The Supreme Court decision, *Suntory New Zealand v C of IR* [\(2022\) 30 NZTC ¶25-024](#) upheld the Appeal Court decision and found that the use of OCNs in the arrangement manipulated the deductibility of amounts, which resulted in deductions of both principal and interest being claimed by the taxpayer. See [¶133-105](#) for more commentary on this case.

Specific determinations

Several specific determinations on optional convertible notes have also been released.

Last reviewed on 31 December 2025

Base price adjustment required under financial arrangements rules [¶6-358]

[¶6-358]

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Overview of base price adjustment

A party to a financial arrangement must calculate a base price adjustment (BPA) if required to do so.

The base price adjustment calculation is made when a person ceases to be a party to the financial arrangement. Typically, that will be when there is a disposal or maturity of the financial arrangement. The base price adjustment must be made by a cash basis person who has been relieved of the requirement to apply a spreading method to the financial arrangement. The calculation is also required if the person ceases to be resident in New Zealand or the financial arrangement becomes statute barred.

The base price adjustment is in the nature of a “wash up” calculation intended to identify any income or expenditure under the financial arrangement that has not already been revealed by the spreading method or the method applied by a cash basis person. The base price adjustment is stated to be the third purpose of the financial arrangements rules ([¶6-010](#)).

A spreading method applied in past years to the financial arrangement is not also applied for the income year in which calculation of the base price adjustment is made.

The formula for the base price adjustment is set out at [¶6-360](#). The main ingredients of the calculation are consideration, income, expenditure and any amount remitted. A calculation that produces a positive result is income derived, with a negative amount treated as expenditure incurred.

The topic of consideration is addressed at [¶6-370](#). Consideration encompasses what is paid or received, with specific rules for an agreement for the sale and purchase of property or services and a specified option ([¶6-400](#)).

When base price adjustment required

Maturity

A party to a financial arrangement must calculate a base price adjustment as at the date on which the financial arrangement matures. Maturity is defined in s [YA 1](#) to mean:

- # the date on which an agreement for the sale and purchase of property or services or an option ends, or
- # in any other case, the date on which the last payment contingent on the financial arrangement is made.

An example of the second of these possibilities would be the repayment in full of a loan. It is recognised that small amounts could be left outstanding to avoid an arrangement reaching maturity and the requirement to undertake a base price adjustment calculation. However, a financial arrangement will be treated as having matured if amounts unpaid under the financial arrangement are immaterial and the arrangement has been structured to avoid the application of the base price adjustment formula.

A taxpayer whose investment of \$15,000 in Equitcorp debentures returned a little over \$5,000 failed to have the balance deducted as a loss. The investment was found not to have matured or to have been remitted for the purposes of the cash basis holder provisions until a final payment was made by Equitcorp under the terms of the investment. That had not yet occurred. See Case S23 ([1995](#)) [17 NZTC 7,162](#).

In Case 2/2016 ([2016](#)) [27 NZTC ¶3-024](#), the TRA held that payment of an amount of an assigned debt was made to a taxpayer by the crediting of that amount to the taxpayer's current account. This was the last

payment due under the deed of assignment. Accordingly, the financial arrangement matured and a base price adjustment was required. On appeal, however, the High Court allowed the appeal by the taxpayer and held that there was no sum of money to constitute payment, but rather an assignment of debt. Because there was no final payment under a financial arrangement, the base price adjustment had not been triggered. See *Fugle v C of IR* (2016) 27 NZTC ¶22-069. The Court of Appeal upheld the High Court decision, holding that the crediting to a shareholder's current account of an amount greater than the funds then available to the company was not the last payment contingent on the financial arrangement. The financial arrangement had therefore not matured and the base price adjustment was not triggered. Payment in full was not made in this case until the full amount was unconditionally available to be drawn down. See *C of IR v Fugle* (2017) 28 NZTC ¶23-017.

The Commissioner has commented that a company that has issued financial arrangements, and that later repurchases all outstanding financial arrangements, must calculate the base price adjustment in the year of repurchase (*Tax Information Bulletin* ¶69-108 Vol 6, No 9, February 1995 at 10). The debt instrument has reached maturity and the company is obliged to return all income and expenditure attributable to the financial arrangements.

Disposal

A party to a financial arrangement who disposes of the financial arrangement must calculate a base price adjustment as at the date of disposal.

The normal meaning of disposal is alienation. This concept involves dealing in property, with the property remaining in existence. See *FC of T v Cooling* 90 ATC 4472. In another case, the Court stated that a disposal for capital gains tax purposes includes a transfer of an asset by one person to another. The capital gains tax regime presupposes that there was an asset immediately before the disposal, and that the disposer owned it. See *Kirby (HMIT) v Thorn EMI plc* [1987] BTC 462.

In *Auckland Harbour Board v C of IR* (1999) 19 NZTC 15,433 (CA), the Court of Appeal held that a financial arrangement was not sold or otherwise transferred by a person in circumstances in which financial arrangements vested in another party pursuant to regulations implementing a local government reorganisation.

The notion of disposal in the context of a conversion of a transferable term fishing quota into an individual term quota is discussed by the Commissioner in *Tax Information Bulletin* ¶123-103 Vol 12, No 3, March 2000 at 20.

Absolute assignment

An absolute assignment of all rights under the financial arrangement gives rise to a requirement to calculate a base price adjustment as at the date of the assignment. However, the base price adjustment is not required if part of the consideration for the assignment is deferred. Consequently, the base price adjustment is not calculated if any part of the consideration for the assignment is left outstanding as a debt owing.

Legal defeasance

A legal defeasance of all obligations owed under a financial arrangement gives rise to a requirement to calculate a base price adjustment as at the date of the defeasance. A legal defeasance is the release of a party's primary obligations under a financial arrangement or an excepted financial arrangement in circumstances in which the release is formally acknowledged by the creditor, the creditor's trustee or agent or is established by legal judgment.

Sale to an associate (debt parking)

A base price adjustment is also required in a "debt parking" situation. A debtor in financial difficulties may arrange for the creditor to transfer the debt to an associated person of the debtor. To "park" the debt with the associate may have the benefit of preventing the base price adjustment revealing income in the hands of the debtor through the inability to repay the debt in full. The debtor is required to calculate a base price

adjustment if the debt is sold to the associate at a discount to a face value of 20% or more. For the purposes of the calculation, the debtor is treated as having paid the amount of the consideration the associate paid to the creditor and the associate is treated as having made an interest-free loan to the debtor ([¶16-410](#)).

Discharge without consideration

A base price adjustment is required if a party to a financial arrangement is discharged from making all remaining payments without fully adequate consideration.

This category of base price adjustment relates to situations in which there is a forgiveness of debt. Under a forgiveness of debt, the creditor formally releases the obligations owed by the debtor. To achieve a forgiveness of debt, as the Commissioner notes in "Gift duty — a guide for legal and tax practitioners" ([IR 195](#)), Inland Revenue, March 2012, p 14, a release by deed is necessary. That view is based on *C of IR v Morris* [1958] NZLR 1126. In that case, the Court of Appeal noted that a well-established principle of law is that a release of debt is not effective unless made under seal or unless some valuable consideration is given in return for the release. In light of that principle, the Supreme Court of Western Australia held in *Gardner v Commr of Probate (WA)* [1967] WAR 106 that there had been no release of a debt despite appropriate entries in the debtor's books and the payment of gift duty to the Commissioner. The contrary view adopted in Case N70 ([1991](#)) 13 NZTC 3,550 may need to be reconsidered. An exception, noted by the Commissioner in [IR 195](#), is that a debt will be released when a creditor acknowledges in writing the receipt of part of the debt in satisfaction of the whole debt (s 92 of the Judicature Act 1908).

Release by operation of law

A party to a financial arrangement must calculate a base price adjustment as at the date of release from the obligation to make any remaining payments under the financial arrangement pursuant to the Insolvency Act 2006, the Companies Act 1993 or a foreign law.

A discharge from bankruptcy operates as a release of all debts provable in the bankruptcy. That is subject to limited exceptions for debts incurred through fraud and debts for child support. Upon the release, the bankrupt is treated as having paid the released debt (s [304](#) of the Insolvency Act 2006). This treatment achieves the social policy objective of "wiping the slate clean" upon a discharge from bankruptcy. Although the base price adjustment calculation is to be made, all outstanding amounts are treated as having been paid, with the consequence that the unpaid debt would not become financial arrangement income under a base price adjustment.

A different regime applies to an insolvent company. A company in liquidation is ultimately removed from the register rather than being released from its debts. The act of removal from the register may effectively operate to release the obligation to make any remaining payments owed but, at that point, the debtor company will no longer exist. The base price adjustment may generate income derived, but there is no person to satisfy the ensuing tax liability. In the routine case, neither the directors nor the shareholders of the company could be expected to assume that liability. However, in other cases, s [HD 15](#) may apply ([¶16-880](#)).

Composition with creditors

A base price adjustment must be calculated as at the date the debtor is released from making all remaining payments under the arrangement by a deed or agreement of composition with creditors. The base price adjustment calculated upon a composition with creditors can be expected to produce income derived. The composition connotes that the debtor is unable to meet in full the debtor's obligations, including those owed under a financial arrangement. A further expectation is that the debtor submitting to the compromise will be unable to satisfy the ensuing tax liability. Most, if not all, of the debtor's assets will have been disposed of under the composition with creditors. The composition will leave the debtor vulnerable to bankruptcy upon the petition of the Commissioner.

Lapse of time

A party to a financial arrangement must calculate a base price adjustment as at the date on which all remaining payments under the financial arrangement become irrecoverable or unenforceable through the lapse of time.

A debt becomes statute barred once the limitation period has expired. This is normally 6 years after the date of the act or omission on which the money claim is based. However, note that this may be extended to 15 years in certain circumstances if the claimant has late knowledge of the claim. For judgment debts, the limitation period used to be 12 years, but it was reduced to 6. See ss [11](#) and [35](#) of the Limitation Act 2010. Under the limitation rule, legal proceedings to enforce payment of the debt cannot be commenced after the applicable period. The debt remains on foot, because it is not deemed to be extinguished.

Ceasing to be resident

A base price adjustment must be calculated by a person who ceases to be resident in New Zealand. The calculation must be made as at the date of cessation of residence. This requirement is subject to the following 2 exceptions:

- # a cash basis person who ceases to be a New Zealand resident before the first day of the fourth income year following the income year in which they first became a New Zealand resident does not calculate a base price adjustment for any financial arrangement held before and after the period of New Zealand residence (so that a base price adjustment is still required for a financial arrangement acquired during New Zealand residence and retained upon the cessation of that status), and
- # a person who ceases to be resident in New Zealand does not calculate a base price adjustment to the extent to which a financial arrangement relates to a business the person carries on through a fixed establishment in New Zealand (encompassing, for example, a company that ceases to be resident in New Zealand upon its migration to another country but that, nonetheless, retains a branch business in New Zealand with financial arrangements as part of the assets or liabilities of the branch).

Ceasing to be party

When a non-resident person is a party to a financial arrangement for the purpose of a business carried on through a fixed establishment in New Zealand, that non-resident must calculate a base price adjustment when they cease to be a party to the arrangement.

Changing from certain methods

A base price adjustment is required when a party to a financial arrangement changes from (s [EW 29\(13\)](#) and [¶6-370](#)):

- # the fair value method and the financial arrangement is not subject to a creditor workout, or
- # the market value to an IFRS method.

The base price adjustment must be calculated for the first income year for which a changed method is used.

It is calculated as at the end of the year of change to the new method so that in the year of change the only income or expenditure is the base price adjustment (*Tax Information Bulletin* [¶238-106 Vol 23, No 8](#), October 2011 at 61).

Cessation of LTCs and dissolution of partnerships

If a person is party to a financial arrangement in their capacity as owner or partner of a look-through company or partnership and they are also a party in another capacity (private capacity), they must calculate a base price adjustment as at the date of disposal of the financial arrangement on the cessation of the LTC or dissolution of the partnership (s [EW 29\(14\)](#)). The base price adjustment is calculated in their private capacity.

Deceased estate

The administrator or executor of a deceased estate with assets that include a financial arrangement may become subject to 2 obligations to calculate a base price adjustment. These are that the administrator must make the calculation:

- # as at the date of death, as if the deceased had disposed of the financial arrangement on that date, and
- # when the administrator subsequently distributes the financial arrangement to a specific legatee or a residuary beneficiary.

If the deceased person was a cash basis person and the trustee of the deceased's estate is a cash basis person, the financial arrangement is valued at cost and not at its market value (s [FC 8](#)). The second of the calculations is made on the basis that the administrator acquired the financial arrangement as at the date of death and disposed of it upon the distribution.

When base price adjustment not required

Section [EW 30](#) specifically states that a base price adjustment is not to be calculated by:

- # a cash basis person who ceases to be resident in New Zealand before the first day of the fourth income year following the income year in which the person first became a New Zealand resident, for a financial arrangement that is held both before and after having New Zealand resident status
- # a person who ceases to be a New Zealand resident for any financial arrangement that relates to a business the party carries on through a fixed establishment in New Zealand
- # the creditor under a financial arrangement that is subject to a legal defeasance if the defeasance requires another person to meet the remaining obligations of the arrangement
- # a debtor whose obligations under a financial arrangement are the subject of an absolute legal defeasance where some or all of the consideration for the defeasance is deferred, and
- # a creditor under a financial arrangement whose rights are subject to an absolute assignment but some or all of the consideration for the assignment is deferred.

Law: IT07 ss [EW 28](#)–[EW 30](#), [FC 8](#), [YA 1](#) (“maturity”)

Last reviewed on 31 December 2025

Base price adjustment calculation [¶6-360]

[¶6-360]

[Click to open document in a browser](#)

The base price adjustment formula for a party to a financial arrangement is:

$$\text{consideration} \# \text{income} + \text{expenditure} + \text{amount remitted}$$

where:

consideration is all consideration that has been paid, and all consideration that is or will be payable, to the person for or under the financial arrangement, minus all consideration that has been paid, and all consideration that is or will be payable, by the person for or under the financial arrangement (ignoring non-contingent fees, if the relevant method is not the IFRS financial reporting method, and non-integral fees, if the relevant method is the IFRS financial reporting method or the modified fair value method)

Note that if any of ss [EW 32](#) to [EW 48](#) or [EZ 52D](#) applies, the consideration is adjusted under the relevant section.

income is income derived by the person under the financial arrangement in earlier income years, dividends derived by the person from the release of the obligation to repay the amount lent, and any suspensory loan remission

expenditure is expenditure incurred by the person under the financial arrangement in earlier income years

amount remitted is an amount that is not included in the consideration paid or payable to the person because it has been remitted by the person or by operation of law, but does not include a remission that is a self-remission for a look-through company owner or a partner ([¶19-222](#)).

A non-contingent fee is a fee for services provided for a person becoming a party to a financial arrangement and that is payable irrespective of whether the financial arrangement proceeds. A non-integral fee is a fee or transaction cost that, for the purposes of financial reporting, is not an integral part of the effective interest rate of a financial arrangement.

The deduction under the income item for a company releasing a debt owed to it by a shareholder ensures that there is no double taxation of the release. The release is a dividend and not also financial arrangement income under the base price adjustment.

Consideration

To calculate a base price adjustment for a financial arrangement, it is necessary to take into account the consideration payable under the financial arrangement. The topic of consideration is addressed in considerable detail by the financial arrangements rules. Specific aspects that are discussed are the following:

consideration paid to or by a person upon exit from and entry into the financial arrangements rules together with a disposal for inadequate consideration ([¶16-370](#))

consideration under an agreement for the sale and purchase of property or services or a specified option ([¶16-400](#))

consideration under a debt-parking arrangement ([¶16-410](#))

consideration where debt is released for natural love and affection ([¶16-420](#))

consideration upon a release of debt by statute ([¶16-430](#)).

Result of base price adjustment calculation

The calculation will produce an amount that is nil, positive or negative. The consequences are the following:

a positive amount is income derived except to the extent of non-deductible expenditure under the financial arrangement in previous income years ([¶15-263](#))

- # a negative amount is expenditure incurred for which a deduction is allowed ([110-452](#)), and
- # a nil amount is neither income nor a deduction.

Example:

A Co issues B Co with a 5-year debenture with a face value of \$30,000 for \$30,000. The stock pays 8% in arrears. Financial arrangement income and expenditure on a yield to maturity basis is \$2,400 per annum. In the middle of the term of the stock, and before the interest payment is made in the third year, B Co sells the stock to a third party. The value of the stock has declined to \$27,000, as general interest rates have risen. The base price adjustment for B Co will be:

consideration # income + expenditure + amount remitted

determined as follows:

- # consideration = \$1,800, being \$27,000 plus the interest income for the past 2 years of \$4,800 less the \$30,000 lent by B Co
- # income = \$4,800, the income derived in previous years
- # expenditure = nil, and
- # no amount has been remitted.

The base price adjustment for B Co is:

$\$1,800 \# \$4,800 + \$0 + \$0 = (\$3,000).$

The negative amount is expenditure incurred. B Co will have an allowable deduction, because the (\$3,000) arises from income derived by B Co in previous years, which is not otherwise allowed as a deduction.

For A Co, when the financial arrangement matures after 5 years, the base price adjustment will be as follows:

- # consideration = (\$12,000), being the \$30,000 paid to A Co less the \$12,000 paid by A Co in interest and the \$30,000 paid by A Co
- # income = nil
- # expenditure = \$9,600 (4 years × interest of \$2,400 pa), the amount incurred by A Co in previous years, and
- # no amounts have been remitted.

The result for A Co is:

$(\$12,000) \# \$0 + \$9,600 + \$0 = (\$2,400).$

The negative amount is expenditure incurred for which a deduction is allowed.

The position of the creditor under a financial arrangement that is subject to a legal defeasance is also addressed. It is confirmed that when the creditor comes to calculate the base price adjustment, the calculation must include the consideration received from the party who assumed the obligations of the original debtor. As a consequence, the consideration for the purposes of the calculation encompasses what was received from both debtors. See s [EW 47](#).

One objective of calculation of the base price adjustment appears to be to treat as income, in the hands of a debtor, the amount of any release of debt.

Example:

PR Ltd has a debt of \$300,000 owed to LO Ltd but is unable to repay the debt in full. PR Ltd arranges a payment of 50¢ in the dollar in full and final satisfaction of the debt. PR Ltd must calculate a base price adjustment to identify any financial arrangement income now that the financial arrangement has matured according to the settlement agreement.

Calculation of the base price adjustment for PR Ltd is as follows:

consideration # income + expenditure + amount remitted

where:

- # consideration = \$150,000, being the consideration paid or payable to PR Ltd of \$300,000 less the consideration paid by PR Ltd of \$150,000
- # income = 0
- # expenditure = 0, and
- # amount remitted = 0.

The base price adjustment for PR Ltd is:

$\$150,000 \# \$0 + \$0 + \$0 = \$150,000$

The result of \$150,000 is financial arrangement income for PR Ltd.

There are exceptions to an outcome of this kind. The release of debt in consideration of natural love and affection and upon discharge from bankruptcy does not result in financial arrangement income.

The release of debt also raises income tax implications. Where the release occurs in the context of an insolvent debtor, the release confers no benefit on the debtor, as there is no capacity to repay.

Public binding ruling [BR Pub 14/07](#): “Interest repayments required as a result of the early repayment of a financial arrangement — deductibility” addresses when a base price adjustment is required where the amount of interest paid is reduced as a result of the early repayment of a term deposit. Where there is a full withdrawal of the term deposit before contract maturity, a base price adjustment is required and the amount of interest repaid is included in the “consideration” element of the base price adjustment. Where there is a partial withdrawal of a term deposit, a base price adjustment is not required. The ruling applies indefinitely from 17 December 2013.

Law: IT07 ss [EW 31](#), [EW 47](#), [EZ 52D](#)

Last reviewed on 31 December 2025

Consideration paid to or by the person in BPA calculation [¶6-370]

[¶6-370]

[Click to open document in a browser](#)

In a number of situations, the consideration paid to or by a party to a financial arrangement is specifically addressed. The situations cover exit from and entry into the financial arrangements rules together with a disposal for an inadequate consideration. The tenor of the treatment is to ascribe the receipt or payment, as appropriate, with a market value consideration.

The provisions on consideration contain a number of references to the accrued entitlement or the accrued obligation of a party to a financial arrangement. These are defined as follows:

- # an accrued entitlement means a party's rights under a financial arrangement at a particular time
- # an accrued obligation means a party's obligations under a financial arrangement at a particular time.

In both instances, the meaning presumably is the monetary expression of the rights and obligations rather than merely a legal analysis of them. The meaning of the concept of consideration under general principles is referred to at [¶6-045](#).

Exit from the financial arrangements rules

A party to a financial arrangement who exits from the financial arrangements rules may be treated as having been paid the market value of accrued entitlements (s [EW 36](#)), or having paid the market value of accrued obligations (s [EW 40](#)), under the financial arrangement at that time. This treatment applies in any one of the following situations:

- # the cessation of New Zealand residence where the financial arrangement is not held for the purpose of a business carried on through a fixed establishment in New Zealand
- # the financial arrangement ceases to be held by a non-resident for the purpose of a business carried on through a fixed establishment in New Zealand, or
- # the financial arrangement becomes classified as an excepted financial arrangement in the form of a borrower's foreign currency loan, a private or domestic option to acquire property, or a private or domestic agreement for the sale and purchase of property or services, because the person starts to use the financial arrangement for a private or domestic purpose.

In the case of a party with accrued entitlements, this treatment ensures that the party to the financial arrangement is imputed with having received the market value of any unpaid amounts as at the date on which the financial arrangement ceases to be subject to the financial arrangements rules. This enables calculation of the base price adjustment to be made on the basis of that notional receipt, without taking into account payments due at a future time when the financial arrangements rules no longer have application to the financial arrangement.

In the case of a party with accrued obligations, the person is imputed with having paid the market value of the person's accrued obligations at the particular time. To extinguish the obligations, the person is also treated as having been relieved of them.

Entering the financial arrangements rules

A person may be treated as having been paid the market value of accrued obligations (s [EW 37](#)) or having paid the market value of accrued entitlements (s [EW 41](#)) at the stage at which a financial arrangement becomes subject to the financial arrangements rules. This treatment may be applied in any of the following situations:

- # the person is a non-resident who becomes a party to the arrangement for the purpose of a business carried on by the person through a fixed establishment in New Zealand
- # the person is a non-resident who becomes a party to the arrangement after 1 April 2008, and becomes a transitional resident after becoming a party to the arrangement, and must calculate and allocate income or expenditure under the arrangement for an income year under the financial arrangement rules (note this amendment is effective for financial arrangements if a base price adjustment is required to be completed after 29 March 2024),
- # the person is a non-resident who becomes a New Zealand resident who is not a transitional resident, and is not, immediately before becoming a New Zealand resident, a party to the arrangement for the purpose of a business carried on by the person through a fixed establishment in New Zealand
- # the person is a transitional resident for whom the arrangement ceases to be an excepted financial arrangement described in s [EW 5\(17\)](#)
- # the person is a transitional resident who becomes a New Zealand resident who is not a transitional resident, resulting in the arrangement ceasing to be an excepted financial arrangement described in s [EW 5\(17\)](#), or
- # the person stops using the arrangement for a private or domestic purpose, resulting in the arrangement ceasing to be an excepted financial arrangement described in any of s [EW 5\(18\)](#) to [\(20\)](#).

The effect of this treatment is to divide a financial arrangement into those components that are subject to the financial arrangements rules and those that are not. In the case of accrued obligations, the party to the financial arrangement is treated as having been paid the market value of the accrued obligations at that time and having assumed the obligations immediately after that time. In the case of accrued entitlements, the party to the financial arrangement is treated as having paid the market value of the accrued entitlements at the particular time and as having acquired the accrued entitlement immediately after that time.

Disposal for inadequate or non-monetary consideration

A person who disposes of a financial arrangement incorporating an accrued entitlement for a non-monetary or inadequate consideration is treated under s [EW 38](#) as having been paid the market value of the accrued entitlements. A person who acquires a financial arrangement for a non-monetary or inadequate consideration is treated under s [EW 42](#) as having paid the market value of the accrued entitlements at the date of acquisition.

This treatment may apply, for example, to the gift of a financial arrangement in the form of a debt investment. As lender, the donor of the gift would have an accrued entitlement to be repaid the principal together with interest accrued but not paid. The donor is treated as having been paid those entitlements. This treatment ensures that calculation of the base price adjustment will not result in a negative amount that is expenditure incurred.

Consideration affected by unfavourable factors

In some situations, s [EW 39](#) requires that the consideration received upon the disposal of a financial arrangement is to be determined by ignoring any decline in the borrower's creditworthiness. The person is treated as having been paid the market value of the accrued entitlements as at the date of disposal.

This treatment applies where the consideration for disposal of the financial arrangement is affected by one of the following factors:

- # a decline in the creditworthiness of the other party to the financial arrangement after it was entered into
- # an increased possibility after the financial arrangement was entered into that the other party will not meet its obligations, or
- # the occurrence of an event reducing or cancelling the obligations of the other party.

The provisions on the decline in creditworthiness may be regarded as a limitation on the circumstances in which a base price adjustment will produce a negative amount that is expenditure incurred. Although the

decline in creditworthiness could be expected to give rise to a monetary loss upon disposal of the financial arrangement, that loss is effectively disregarded by the financial arrangements rules.

This treatment does not apply to a person whose business includes holding or dealing in financial arrangements of the class disposed of, provided that the person is not associated with the other party to the financial arrangement.

Change from fair value method

When a person is required to perform a base price adjustment as a result of the person changing from the fair value method of spreading income, the person is treated as having been paid, at the end of the first income year for which the replacement method is used, an amount of consideration equal to the financial arrangement's market value on that date. See s [EW 46B](#), which was amended to clarify the timing of the base price adjustment in these circumstances.

Cessation of LTCs and dissolution of partnerships

When a person is required to perform a base price adjustment in their private capacity under s [EW 29\(14\)](#) on cessation of a look-through company or dissolution of a partnership ([16-358](#)) and the person has an accrued entitlement, the consideration is limited to their owner's or partner's interest. The person is treated as:

- # having paid the consideration multiplied by the proportion of their owner's interest or partner's interest in the financial arrangement in their non-private capacity, and
- # having been paid the market value of the accrued entitlement on the date of disposal multiplied by the proportion of their owner's or partner's interest.

Law: IT07 ss [EW 36](#)–[EW 39](#), [EW 41](#), [EW 46B](#), [EW 47B](#)

Last reviewed on 31 December 2025

Agreement for the sale and purchase of property or services and a specified option and financial arrangements rules [¶6-400]

[¶6-400]

[Click to open document in a browser](#)

The value of property or services for an original party to a financial arrangement in the form of an agreement for the sale and purchase of property or services (ASAP) or a specified option is based upon the lowest price, a cash price, a future or discounted value or a value determined by the Commissioner. A hierarchical approach is taken. These prescribed methods of determining value are considered in their sequential order until one of them applies. With the exception of foreign currency agreements for the sale and purchase of property or services (foreign currency ASAPs), discussed below, the consequence of the hierarchical approach is that a lowest price concept is the first possibility, the cash price is the second possibility, the future or discounted value is the third possibility and the amount determined by the Commissioner is the fourth possibility. The lowest price provisions are supported by rules on currency conversion where the financial arrangement is in a foreign currency. The rules for determining value do not have application if the agreement or option has lapsed or does not proceed.

This value calculation is designed to provide a mechanism to isolate any interest component and ensure it is spread in accordance with the financial arrangements rules. Only the interest element is brought within the rules. Any change in value of the property that is the subject of the agreement is disregarded.

The same rules apply for the purposes of the regimes governing a finance lease ([¶6-700](#)) and a hire purchase agreement ([¶6-740](#)). Further, a party to an arrangement of these kinds may pay or be paid consideration for the lease agreement. In this case, the consideration includes any expenditure or loss incurred by the lessor in preparing and installing the asset for use, to the extent that it has not already been taken into account (s [EW 33](#)).

Lowest price

The value of property or services is the lowest price the parties would have agreed to on the date on which the agreement was entered into, if payment in full had been required at the time at which the first right in the property was transferred, or the services provided. There is an important qualification for an agreement for the sale and purchase of property or services. For a financial arrangement of that kind, the lowest price provisions cannot apply if the agreement is part of another financial arrangement. In that case, one of the remaining methods for determining the value of property or services must be applied to determine the consideration.

In these provisions, the notion of a “right” means any one of the following:

- # a right to possess the property
- # a right to income derived from the property
- # a right to control or influence the disposal of income derived from the property
- # a right, directly or indirectly, to make a decision about the property
- # a right, directly or indirectly, to influence a person making a decision about the property, or
- # any other right of a substantially similar nature.

It does not include the mere right to enforce the agreement for the sale and purchase of property or services or the specified option.

Thus, the value of property or services will be the lowest price the parties would have agreed upon at the time of entering into the agreement if payment had been required in full at the time the first of any of the above rights in the property was transferred. In many cases, this will be at the time when there is a legal change in possession or ownership of the property in question. In other cases, the crucial time may be the time at which the right to any income generated from the property passes.

In one case, it was held that the right to the income from a business subject to a sale agreement did not pass upon the execution of a conditional agreement for sale and purchase, despite the parties agreeing for that to be the case. The High Court held that the right to the income from the business passed to the purchaser not when the agreement was signed, but only when it became “highly probable” that the conditions would be satisfied and that the sale and purchase would settle. In the case under consideration, that was 3 days prior to settlement. See *GPO Holdings Ltd v C of IR* [\(1996\) 17 NZTC 12,429](#).

Specific agreement on lowest price

Ideally, a specific clause should be inserted into an agreement specifying the lowest price. However, the absence of a specific agreement by the parties on the lowest price does not necessarily prevent application of the lowest price concept.

The lowest price is what the parties would have agreed upon at the relevant time, despite any omission to specifically agree on the lowest price. That was the view taken in relation to a transaction that occurred as a part of a nationwide port restructuring process. The taxpayer was the purchaser of harbour board assets, but the purchase was subject to considerable delays on account of legal challenges and difficulties in resolving valuation issues. The taxpayer entered into possession of its intended port assets on 1 October 1988 pending resolution of the issues and commenced to operate the port business. Some 12 months later, the parties agreed upon a purchase price of \$34 million. The High Court found that the lowest price concept applied. The statutory provisions require a subjective consideration of what the lowest price was that the parties would have agreed to for the transfer of the property on 1 October 1988 when the taxpayer took possession of the assets. The fact that the parties had not specifically turned their minds to a deferral of settlement, or what the lowest price may have been for the purposes of the Income Tax Act 1976, did not change the matter. The correct approach was to ascertain the lowest price the parties would have agreed upon at the date on which possession was given. The purchase price eventually determined of \$34 million was the lowest price. There was no suggestion that it contained an interest element and nor was there any evidence that a lower price would have been acceptable. See *Lyttelton Port Co Ltd v C of IR* [\(1996\) 17 NZTC 12,556](#).

Commissioner's views

The Commissioner's views on the lowest price concept is published in *Tax Information Bulletin* [¶33-111 Vol 3, No 3](#), October 1991 at 8. The lowest price concept addresses:

- # the intention of both the parties to the agreement for the sale and purchase of property or the specified option
- # the particular purchaser negotiating the price for the property rather than any purchaser so that there is a contrast with the definition of cash price used in the Credit Contracts Act 1981 and its concentration on the price at which the property would be sold to any purchaser, and
- # the time at which the rights in the property, the subject of the agreement, are to be transferred, with the date of transfer being the time at which the lowest price should be determined.

Since the test is a subjective one, IR cannot ignore a lowest price that has been genuinely agreed between the parties. If the parties have agreed upon a lowest price which results in an interest rate of 9%, IR cannot ignore that because it considers that a rate of 15% is a more realistic market rate. The test, however, is the lowest price that the parties would have agreed upon, not the lowest price that the parties state that they agreed upon. IR may consider the objective facts to determine whether the parties have genuinely agreed to the price they assert. The situation is similar to that where a person asserts that they are in business. In that situation, IR can look to the objective facts for assistance in determining whether the person genuinely had a profit motive despite the person's assertion. The fact that the test is a subjective one does not mean that it is decided purely on the claims of the person. The test is what the parties really agreed upon, not what they claimed to have agreed.

The following examples to illustrate the lowest price concept were also given by the Commissioner in his discussion of the topic.

Examples:

A taxpayer with accumulated losses of \$400,000 sells a capital asset for a deferred payment of \$500,000. The asset is valued at \$450,000. Possession of the asset is to pass immediately and payment is to take place in 18 months. The parties state in the agreement for sale and purchase that the lowest price they would have agreed upon for immediate payment is \$100,000. The objective facts, however, suggest that the lowest price was asserted by the parties in order to transfer the advantage of the vendor's tax losses. In this situation, unless there is some compelling evidence, IR would not accept the taxpayers' assertions that \$100,000 was the lowest price they would have agreed upon.

One company sells another company a building for \$10 million with payment to take place 12 months after possession passes. In most circumstances, IR would not accept that \$10 million was the lowest price that the parties would agree upon if payment was made when the first right in the property passed. The parties may assert this but, in many cases, the surrounding circumstances would not support the assertion. Assuming that the taxpayers are commercially sophisticated, it would be reasonable to assume that they had considered the time value of money. If the compensation in the nature of interest was disguised in the purchase price, it would be open to the Commissioner to challenge the price agreed.

A parent sells a child a farm for \$1 million, with the purchase price left outstanding for 10 years. The lowest price agreed upon between the parties when possession of the property passed was \$1 million. The transaction is in substance a 10-year interest-free loan. In the case of such intra-family dealings, IR may accept that the \$1 million was the lowest price agreed upon. The extension of credit is based on the natural love and affection that the parent has for the child. The parties have not turned their minds to the time value of money. It has no relevance to their relationship.

ASAP part of another financial arrangement

An original party to an agreement for the sale and purchase of property or services cannot apply the lowest price provisions if the agreement is part of another financial arrangement. This qualification to application of the lowest price provisions appears to have been incorporated to address avoidance concerns. In the course of discussing the concept of a composite financial arrangement comprising a number of financial arrangements, the Commissioner remarked that a consequence of the broad definition of a financial arrangement is that groups of inter-related financial arrangements, which may not be financial arrangements separately, may fall within the definition. Inter-related arrangements are those in which there is a degree of interdependency between the transactions. It is, therefore, appropriate that they be covered by the rules if they have the same effect as debt instruments or debt substitutes. Accordingly, the lowest price concept for agreements for the sale and purchase of property or services does not apply if it is part of a wider financial arrangement. A wider financial arrangement containing a group of inter-related arrangements cannot be properly characterised as an agreement for the sale and purchase of property or services, even though some of the constituent arrangements may be. See *Tax Information Bulletin* ¶116-103 Vol 11, No 6, July 1999 at 10.

Unfortunately, the Commissioner did not elaborate on why it is that all inter-related arrangements, of themselves, should be regarded as debt substitutes. In a transaction that predominantly involves the sale and purchase of property, or the provision of services, it may not be obvious why the asset or services features of the transaction are debt substitutes. The parties, presumably, wish to transfer assets or services as a fundamental objective of their dealings.

Credit contract cash price

In the absence of the application of the lowest price provisions, the value of property or services is the cash price of the property or services as determined under s 5 of the Credit Contracts and Consumer Finance Act 2003. This is provided that the Act has application to the agreement in question.

The concept of the cash price in the credit contracts statute is defined as follows:

cash price, in relation to property sold or leased, or to services provided under a contract, means —

- (a) the lowest price at which a person could have purchased that property or those services from the vendor, lessor, or provider on the basis of payment in full at the time the contract was made; or
- (b) if there is no price in accordance with paragraph (a), the fair market value of that property or those services at the time the contract was made.

The cash price provisions raise the issue of whether the Credit Contracts and Consumer Finance Act will have application to the agreement, option or lease in question. Part 5 of the Act applies to every credit

contract irrespective of whether it is a consumer credit contract. See s [117](#) of that Act. A credit contract is one under which credit is or may be provided, while the notion of credit is defined in s [6](#) as the right to defer payment of a debt, to incur a debt and defer its payment, or to purchase property or services and defer payment for the purchase (in whole or in part). Since the notion of a credit contract parallels the definition of a financial arrangement in the form of an agreement for the sale and purchase of property or services, it is arguable that the cash price concept is applicable to an agreement of that kind.

Future or discounted value

In the absence of the application of the lowest price and cash price provisions, the value of the property or services is the future value, the discounted value or a combination of the 2 of the amounts paid or payable on the date on which the first right in the property is transferred or the services are provided as stated in one of the Commissioner's determinations.

Determination [G17B](#): "Deferred Property Settlements Denominated in New Zealand Currency" can be expected to be the most relevant determination. Other possibilities are *Determination [G16A](#)*: "Discounted Value of Amounts Payable in Relation to Trade Credits Denominated in New Zealand Currency" and *Determination [G21A](#)*: "Agreements for Sale and Purchase of Property Denominated in Foreign Currency: Discounted Value of Amounts Payable".

Determination [G17B](#) is not applicable to all deferred property agreements. Perhaps the main exclusion is for an agreement that provides that more than 20% of the purchase price is payable at least 31 days before the date on which the first right in the property is transferred.

Specific determination

In the absence of the application of the lowest price concept, the cash price concept or one of the Commissioner's determinations, the value of the property or services is that stated in one of the Commissioner's determinations or a binding ruling specifically addressing the agreement for the sale and purchase of property or services in question. Both parties to the agreement must apply the amounts stated in the determination.

Denomination in a foreign currency

Where the agreement for the sale and purchase of property or services or a specified option is denominated in a foreign currency, the price may be converted into New Zealand currency using one of the following rates:

- # a rate available from a registered bank on the date on which the first right in the property is to be transferred (or expected to be transferred if that date is uncertain)
- # a rate available from a registered bank for the date of final payment (or the expected final payment date if that date is uncertain) but only if the period between transfer of the first right in the property and the final payment is not more than 5 years, or
- # a rate approved in one of the Commissioner's determinations.

Taxpayers who use IFRS to prepare their financial statements almost always use the accounting valuation of the property or services in foreign currency ASAPs as the tax cost for depreciation purposes. They also use the accounting results to spread income and expenditure under foreign currency ASAPs. The income or expenditure included in the financial statements for foreign currency ASAPs is generally any recognised interest. The valuation and spreading rules for foreign currency ASAPs incorporate the effect of IFRS designated FX hedging of foreign exchange amounts in the financial statements. There are some legislative modifications to the use of the accounting results for determining the value of the property or services (see ss [EW 32\(2\)–\(2E\)](#), [EW 33B](#), [EW 33C](#), [EW 33D](#) and [EW 34](#)). These modifications generally only apply to hedges of certain transactions, and to certain amounts of contingent consideration on the sale and purchase of a business combination.

Non-IFRS taxpayers generally use spot foreign exchange rates to convert amounts paid to value property or services included in foreign currency ASAPs. Interest income or expenditure arises in 2 situations:

- # interest may be commercially agreed and expressly included in the terms of the contract, or
- # it will be calculated where there are payments 12 months or more before or after the rights date (the date on which the first right in the property is transferred or the services are provided).

In the second situation, interest is calculated on a future or discounted value basis. Progress payments and deposits up to 10% of the total price are not payments included in the second situation. The spreading and valuation rules allow a one-time-only election to include the effects of prescribed hedging rules for foreign exchange amounts included in foreign currency ASAPs. In substance, this is designed to replicate the tenor of the equivalent IFRS rules.

Relatively, few foreign currency ASAPs for non-IFRS taxpayers are expected to have interest income or expenditure to spread under these rules. The reasons for that are the exclusion of 10% deposits and progress payments, and other payments that are less than 12 months before or after the rights date.

For a detailed discussion of these rules, see *Tax Information Bulletin*, ¶267-115 Vol 26, No 7, August 2014, pp 77–85.

Law: IT07 ss [EW 32–EW 34](#), [EZ 75](#), [EZ 76](#), [YA 1](#) (“[agreement for the sale and purchase of property or services](#)”, “[specified option](#)”)

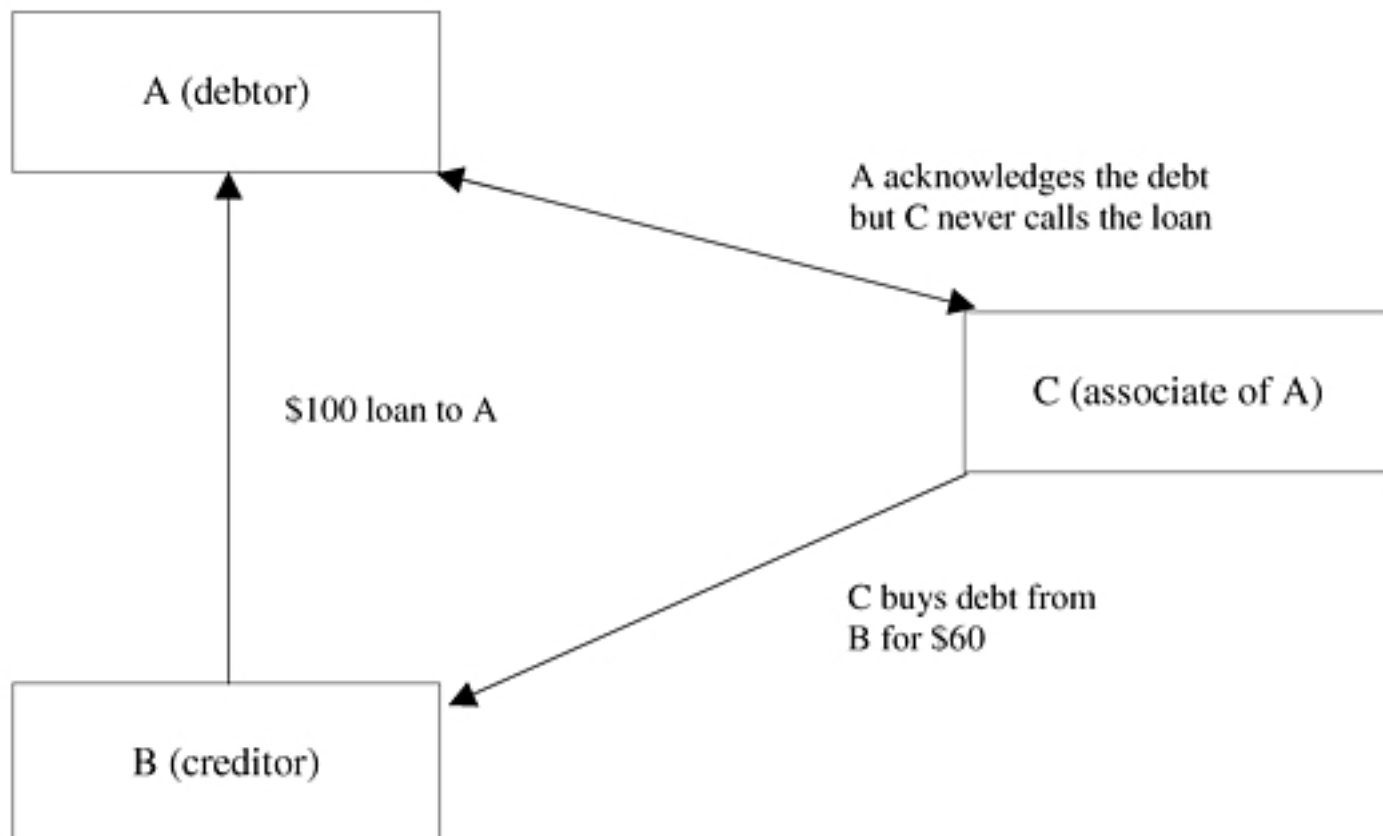
Last reviewed on 31 December 2025

Debt parking and financial arrangements rules [¶6-410]

[¶6-410]

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The following is an example of debt parking:



Such an arrangement was previously adopted to avoid remission income arising for a debtor. However, the legislation was amended to overcome this result.

Where a creditor sells a debt to an associate of a debtor at a discount of 20% or more of the consideration remaining payable under the debt, the debt is treated as forgiven by the creditor. Both the original creditor and debtor must carry out a base price adjustment, and a new financial arrangement is created between the debtor and the debtor's associate. For the purpose of the base price adjustment, the debtor is treated as having paid the creditor the discounted amount that the associate pays the creditor to purchase the debt (in the example, \$60). The debtor's associate is treated as providing an interest-free loan to the debtor for the amount of the debt purchased by the associate (\$60), so there is no income or expenditure to spread under the new financial arrangement. Under the new financial arrangement, if the debtor repays an amount in excess of the amount the debtor's associate paid the original creditor, the excess will be a deduction to the debtor and income to the debtor's associate.

Law: IT07 ss [EW 43](#), [EW 49](#)

Last reviewed on 31 December 2025

Release of debt out of natural love and affection under financial arrangements rules [¶6-420]

[¶6-420]

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A debtor may be treated as having paid a debt that has been released in consideration of natural love and affection. This treatment applies when the creditor who releases the debt is a natural person and one of the following applies:

- # the creditor forgives the debt because of the natural love and affection that the creditor has for the debtor, or
- # the debtor is a trust established mainly to benefit:
 - # a natural person for whom the creditor has natural love and affection, or
 - # an organisation or trust entitled to the benefit of the income tax exemption for the income of a charity.

The means of forgiveness of the debt is immaterial. The forgiveness may occur through a will or it may occur through a deed of release ([¶6-358](#)). When drafted, both documents should state that the debt released is in consideration of natural love and affection. It is also confirmed that the release of debt can relate to an amount that is accrued and unpaid at the time of the forgiveness.

The topic of the forgiveness of debt in a family context had been addressed in a public binding ruling. The binding ruling [BR Pub 99/7](#): “Debt forgiveness in consideration of natural love and affection” commented that the phrase “natural love and affection” is used to describe an action by a person where the motive is induced not by a promise of something in return, but by the natural love and affection that the person has for another. An action undertaken in consideration of natural love and affection does not entice reciprocation, so that there is nothing in turn expected from the debtor. Natural love and affection is generally considered to subsist between relatives, such as father and child, brother and sister, husband and wife (or non-spousal domestic partners), uncle and nephew, grandmother and grandchild, great-grandfather and great-grandchild and other descendants or antecedents of the creditor, whether by blood, marriage, non-spousal domestic relationship, or adoption; and whether or not born during the creditor’s lifetime. The Commissioner’s discussion of the ruling confirmed that the natural love and affection concept could apply when the debtor:

- # is a relative such as a father, child, brother, sister, husband, wife, grandchild or close friend
- # is the trustee of a fixed family trust for relatives, a close friend, another like trust or a superannuation scheme, or
- # is the trustee of a discretionary family trust in which all the beneficiaries are relatives, a close friend, another like trust or a superannuation scheme.

The Commissioner added that, in some cases, it would be possible for natural love and affection to be present outside the family. For example, it could be present between close friends (although not ordinary acquaintances or colleagues). Factors taken into account in establishing whether there is natural love and affection include: express statements made, past distributions, existing relationships, and future intentions. The Commissioner’s final comment was that it was not accepted that a debt can be treated as having been repaid when the debtor is a family company. A company has a legal personality separate from its shareholders and so any relationship between the creditor and the company’s shareholders is irrelevant.

The trustee is required to keep a record of releases of debt and distributions to beneficiaries over the life of the trust (s [22B](#) of the TAA).

Trustee income

Trustee income may be treated as having been derived where a debt owed by the trustee has been forgiven and a distribution is made to a beneficiary who is neither a natural person for whom the creditor has natural love and affection nor a charity. This is where the creditor is a natural person and the trust was established

mainly to benefit natural persons for whom the creditor has natural love and affection, or a charity. The trustee income is derived in the income year in which the distribution is made.

There is one exclusion. It is recognised that a distribution may be made to another trust with beneficiaries who are persons for whom the creditor has natural love and affection, or a charity. The distribution to a similar family trust does not result in trustee income. This exclusion envisages a resettlement of trust assets on a similar family trust. Resettlements are commonly undertaken to isolate a parcel of trust assets to be held in trust for the benefit of a particular beneficiary.

There may be a limit to the amount of trustee income. The trustee income cannot exceed the total amount of the debt that the creditor has forgiven. If debt has been forgiven on a number of occasions, this may require a balance to be kept of total debt forgiven less distributions that have given rise to trustee income (s [EW 50](#)).

Law: IT07 ss [EW 44](#), [EW 50](#); TAA s [22B](#)

Last reviewed on 31 December 2025

Release of debt by statute under financial arrangements rules [¶6-430]

[¶6-430]

[Click to open document in a browser](#)

A debtor is treated as having paid a debt where the debt is released pursuant to:

- # s [304](#) of the Insolvency Act 2006
- # any of the Inland Revenue Acts
- # the remission of a social assistance suspensory loan, or
- # the terms of a loan under the small business cashflow scheme under s [7AA](#) of the TAA.

Under s [304](#) of the Insolvency Act 2006 a discharge from bankruptcy releases debts owed, except those obtained by fraud and for child support. Treatment of payment of the debt released will have the effect of preventing income arising upon calculation of the base price adjustment.

Law: IT07 s [EW 45](#)

Last reviewed on 31 December 2025

Security payments and financial arrangements rules [¶6-440]

[¶6-440]

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It is recognised that a guarantor may suffer a loss upon being required to honour the guarantee and that a payment designated as a “security payment” may subsequently be received from the principal debtor (the party for whose benefit the guarantee was given and whose default required honour of the guarantee). The security payment received is treated as income under the financial arrangements rules. In addition, a deduction is allowed for the amount of the security payment. This ensures that a neutral position is maintained. It would otherwise be anomalous if a guarantor who had suffered loss was simply attributed with income for the security payment received.

Law: IT07 ss [DB 14](#), [EW 51](#)

Last reviewed on 31 December 2025

Amalgamations and financial arrangements rules [¶6-450]

[¶6-450]

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Different rules apply to the transfer of financial arrangements on an amalgamation depending on matters such as whether the amalgamation is a resident's restricted amalgamation, whether the borrower is solvent or insolvent, and whether the financial arrangement is between amalgamating companies or with a third party ([¶20-109](#)–[¶20-111](#)).

Last reviewed on 31 December 2025

Consolidated groups and financial arrangements rules [¶6-460]

[¶6-460]

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In general, no tax is payable on intra-group transfers of assets in a consolidated group. Income derived from intra-group transactions is excluded from the determination of a consolidated group's income, and expenditure or losses incurred through transactions with other consolidated group companies are not deductible. These rules reflect the intention of the regime to treat intra-group transactions as transactions between branches of the same company so that there are no taxation consequences. This is the case until either that asset is disposed of outside the consolidated group, or the recipient company leaves the group still holding the asset, or the group deconsolidates. Special rules apply to financial arrangements.

Transfer of financial arrangements intra-group

Under ss [FM 18–FM 20](#) financial arrangements must be transferred by one of 3 valuation methods:

- # book value (where no base price adjustment will be required on transfer) (s [FM 18](#))
- # an amount that fairly allocates the year's income between the parties (s [FM 19](#)), or
- # market value (s [FM 20](#)).

Under s [FM 18](#), no base price adjustment is required to allocate income or expenditure between the transferor and the transferee for the year of transfer if:

- # the financial arrangement rules apply to the financial arrangement
- # the transferor and the transferee are members of the same consolidated group at all times in the income year of transfer
- # both parties use the same method of calculating income and expenditure (for instance, both use the yield to maturity method) and the consolidated group's return of income is made on that basis, and
- # neither party is entitled to carry forward pre-consolidation losses, unless the group's assessable income is sufficient to absorb all such losses. The transferor is treated as if it had never been a party to the financial arrangement.

The transferee is treated as if it had entered into the financial arrangement in the same manner as the transferor, including incurring expenditure and deriving income and providing a return of income in relation to the financial arrangement.

IR has stated that these conditions are designed to prevent income being allocated so as to give undue tax advantage (*Tax Information Bulletin* [¶45-101 Vol 4, No 5](#), December 1992, p 8).

Where the group does not meet these conditions but there is no change in the method of calculation, the allocation of income or expenditure for the year of transfer must be fair and reasonable (s [FM 19](#)).

Where there is a change in the calculation method, the transferor is deemed to have transferred the financial arrangement at market value (s [FM 20](#)).

Income from financial arrangements

Section [FM 8](#) provides that an amount is excluded income under s [CX 60](#) if it is derived by a consolidated group company from a transaction or other arrangement with another group member and would not be income were the 2 companies one company. However, there are exceptions to this rule that apply to the extent that the amount arises under the base price adjustment mechanism from:

- # the disposition of a financial arrangement that is subject to the financial arrangement rules, or
- # the remission of a financial arrangement subject to the financial arrangement rules if the parties to that arrangement were not members of the consolidated group for the whole term of the arrangement.

The latter requirement may prevent manipulative practices seeking use of the consolidation regime to prevent financial arrangement income arising for intra-group debt unable to be repaid in full.

Law: IT07 ss [CX 60](#), [FM 8](#), [FM 18–FM 20](#)

Last reviewed on 31 December 2025

Capitalisation of debt, debt remission and financial arrangements rules [¶6-470]

[¶6-470]

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A company in financial difficulty that owes a debt to a shareholder may issue shares to the shareholder and treat the issue of the shares as repayment in full of the debt.

Section [EW 46C](#) provides that when there is a debt remission within an economic group, the debt is treated as having been repaid in full in certain circumstances. The section applies to the extent to which a debt is remitted and:

- # the creditor is a member of the same wholly-owned group of companies as the debtor and
- # the debtor is a New Zealand resident company, or
- # from 30 March 2022, the debtor carries on business in New Zealand through a fixed establishment and the creditor (or an associated person) cannot deduct the amount remitted against income in the foreign jurisdiction or in New Zealand (that is, the debt is owed by a New Zealand branch of a non-resident company to a member of the same wholly-owned group), or
- # a group of New Zealand resident companies hold all the common voting interests (or market value interests if relevant) in the debtor, ignoring the look-through rule for corporate shareholders in s [YC 4](#)
- # if the debtor is a company, the creditor is not a member of the same wholly-owned group of companies as the debtor and the creditor has ownership interests or, as applicable, market value interests in the debtor
- # if the debtor is a partnership, the creditor has a partner's interest in the income of the debtor
- # if the debtor is a look-through company, the creditor has an effective look-through interest in the debtor.

Where the first bullet point above applies, the debtor is treated as having paid the amount of debt, and the creditor as having been paid it, on the date the creditor remits it. However, for the last 3 bullet points above, the debtor is treated as having paid the amount of the debt, and the creditor as having been paid it, on the date the creditor remits it, to the extent to which the proportional debt ratio for the amount equals the proportional ownership ratio (ie the debt must be remitted pro rata to ownership). Note that when determining the proportional ownership ratio, nominal shares (being shares held by the trustee of an exempt employee share scheme, or employees or former employees of the debtor, that represent voting interests totalling not more than 3%) are ignored.

When debt has been remitted within a wholly-owned group of companies, it is treated as having been paid by the debtor, and as having been paid to the creditor on the date of release. The amount deemed to be paid is usually the amount of the debt remitted. For any debt remitted on or after 29 March 2024, amendments to s [EW 46C\(5\)-\(5C\)](#) clarified where the creditor has been subject to s [EW 41](#) and the debtor is insolvent at the time of the creditor's entry into the financial arrangement rules, the creditor is treated as having been paid the lesser of the amount of the debt, or the amount of the debt less any impairment of the relevant debt under generally accepted accounting practice at the time the creditor is treated as having acquired their accrued entitlement under s [EW 41\(2\)](#) to receive consideration in relation to the debt (s [EW 46C\(5C\)](#)) (*Tax Information Bulletin* Vol [¶364-102 36, No 4](#), May 2024 at 125).

The section does not apply if the creditor and debtor are members of the same wholly-owned group of companies and the creditor is a non-resident and the debt has been held by a person that is not a member of the wholly-owned group of companies. This is to prevent "debt parking" when the creditor is not in the New Zealand tax base ([¶6-410](#)).

For the purposes of the section, the means by which an amount of debt is remitted is immaterial. In addition, a group of natural persons (described as the "single creditor group") who are creditors or have interests in the debtor are treated as one creditor holding the total debts and interests of the group, if each person has natural love and affection for the others. Note that a trust may join the single creditor group in certain limited

circumstances. A group of non-natural persons (described as the “single corporate creditor group”) that are creditors or have interests in the debtor are also treated as one creditor if each person is a member of the same wholly-owned group of companies and the debtor is not.

When the debt remission is inside a wholly-owned group, the remission does not cause a dividend to have been paid, with the removal of associated imputation considerations. However, the remission of debt owed by a foreign shareholder in a New Zealand creditor company continues to be taxed as a dividend. Debt remission is deemed to cause “available subscribed capital” for a corporate debtor (so that it can later be returned tax free to the shareholders if appropriate). The owner or creditor receives an uplift in their carrying cost of their shareholding in the debtor. If a debt remission does not result in available subscribed capital, it also does not result in the debtor receiving a capital profit, as this could lead to the artificial conversion of retained earnings into capital gains.

Accrued and unpaid interest is also deemed to be paid and received from 1 July 2017.

Note that an amendment to s [EW 46C\(1\)\(a\)](#) extends the debt remission rule to a New Zealand “fixed establishment”, as long as meets the other requirements of the provision. This allows the remission of debt owed by New Zealand branches of non-residents from 30 March 2022. However, this provision is limited and only applies where the creditor does not receive a deduction on the remission of the debt (in New Zealand or in an offshore jurisdiction).

Section [DB 31\(2\)\(bb\)](#) denies a deduction for a bad debt for financial arrangement income if the debtor is associated with the creditor, except when the debtor has no deductions for the financial arrangement, ie is not in the New Zealand tax base. This is to prevent the double deduction of the debtor’s financial arrangement (interest) deduction and the creditor’s bad debt deduction. The creditor has financial arrangement (interest) income.

Example: Debt forgiveness in proportion to ownership

Mike and Alex own 50% of the shares each in MA Limited. The company owned commercial properties that have now all been sold. The company owes Mike and Alex \$50,000 each. The shareholders wish to liquidate the company and remit the debts owing to them. If Mike and Alex forgive the debt owing to them by MA Limited, will any remission income arise to the company?

The amounts remitted will not give rise to any remission income for MA Limited if:

- # the creditor (ie Mike and Alex) holds an ownership interest in the debtor, and
- # the debt is remitted pro rata to ownership (the proportional debt ratio for the amount must equal the proportional ownership ratio).

The first requirement above is met because both creditors hold an ownership interest (shares) in the debtor (MA Limited).

The proportional debt ratio is the creditor’s percentage of the total debt that is remitted. In this case the proportional debt ratio for Mike and Alex is 50% (\$50,000 owed by each shareholder/\$100,000 total debt). The proportional ownership ratio is the creditor’s percentage of total ownership interests. In this case, the proportional ownership for Mike and Alex is 50% because they each own 50% of the total shares in MA Limited.

Because the proportional debt ratio (50%) for each of the shareholders equals the proportional ownership ratio (50%), the remission of the debt by Mike and Alex will not give rise to taxable income for MA Limited.

When the debts are remitted, a base price adjustment must be performed. The outstanding debt is treated as being paid by MA Limited to Mike and Alex under the base price adjustment which means no income arises.

Note that prior to the law change, remission income of \$100,000 would have arisen for MA Limited. Although the relevant law was passed in 2017, it generally applies from the 2006–07 income year.

Example: Debt forgiveness not in proportion to ownership

Trish and Bernie are colleagues who each own 50% of Star Holdings Limited. The company owes Trish \$10,000 and Bernie \$50,000. Assume that there is no natural love and affection between Trish and Bernie.

1. Will taxable income arise if Trish and Bernie remit or forgive all their debts to Star Holdings Limited?

Yes, taxable income of \$60,000 will arise for Star Holdings Limited if Trish and Bernie remit all their debts. This is because the debt remission will not be in proportion to ownership (ie the debt remission is not *pari passu*).

The proportional debt and ownership ratios for Trish and Bernie are set out as follows:

	Proportional debt ratio	Proportional ownership ratio
Trish	$(\$10,000/\$60,000) = 16.67\%$	$50/100 = 50\%$
Bernie	$(\$50,000/\$60,000) = 83.33\%$	$50/100 = 50\%$

Because the proportional debt ratio does not equal the proportional ownership ratio for either Trish or Bernie taxable income will arise if the shareholders remit all their debt.

2. Can any amount of the debts be remitted without any taxable income arising?

If both Trish and Bernie each remit \$10,000 no taxable income will arise for Star Holdings Limited. However, there will still be outstanding debt of \$40,000 remaining.

Where \$10,000 is remitted by each shareholder, the proportional debt ratio will equal the proportional ownership ratio as follows:

	Proportional debt ratio	Proportional ownership ratio
Trish	$(\$10,000/\$20,000) = 50\%$	$50/100 = 50\%$
Bernie	$(\$10,000/\$20,000) = 50\%$	$50/100 = 50\%$

If the remaining \$40,000 is remitted, taxable income of \$40,000 will arise for Star Holdings Limited.

QB 20/02 – debt remission income for look-through company

QWBA [QB 20/02](#): “Income tax — Natural love and affection exception to debt remission income for look-through company” confirms a look-through company (LTC) will not derive debt remission income when a close friend or family member of the shareholders forgives a loan made to the LTC if all the shareholders and close friend or family member have natural love and affection for each other. The Commissioner will generally accept that the shareholders and the close family friend or family member have natural love and affection for each other. It is also noted in [QB 20/02](#) that, while the item does not consider the partnership exception in s [EW 46C\(1\)\(d\)](#), the conclusions reached are also relevant to partnerships where the creditor of the partnership and all the partners have natural love and affection for each other. Note that the conclusion reached in [QB 20/02](#) is subject to the provision that no other debt of the LTC (or partnership) to which s [EW 46C](#) applies is forgiven at the same time.

Debt guarantees within economic group

Section [EW 49B](#) provides a rule for debt guarantees within the economic group, modelled on the debt parking rules in s [EW 49 \(16-410\)](#). The section applies when a guarantor pays an amount under a guarantee (the guarantee payment) for an associated debtor to the debtor's creditor. For the debtor, the amount of the guarantee payment is treated as consideration paid or payable by the debtor for the debt, thus the guaranteed loan is deemed to be repaid to the extent of the guarantee payment. For the guarantor, the guarantee payment is treated as not being consideration paid or payable by the guarantor and the guarantor is denied a tax deduction. If the guarantor has recourse to the debtor for the guarantee payment, the guarantor is treated as providing the debtor with a new interest-free loan for the amount of the guarantee payment. If the debtor liquidates, the base price adjustment will be triggered on the deemed loan. When the rule in s [EW 46C](#) applies, the deemed loan will be treated by both the guarantor and the debtor as being repaid to the extent that the liquidation causes a shortfall and the debtor will not have any BPA income on this. Alternatively, if the debtor eventually repays the guarantor more than the guarantee payment, the excess is income of the guarantor and an allowable deduction to the debtor.

Debt-equity swaps

From 1 April 2023, s [EW 46D](#) provides for the tax treatment of repayment of an insolvent company's debt with the issuance of shares, ensuring that persons cannot avoid deriving debt-forgiveness income by using a 2-step process for debt-equity swaps.

The provision states that a person who made the repayment is treated as having paid an amount towards the debt equal to the market value of the shares rather than the amount they actually paid towards the debt.

Section [EW 46D](#) applies to arrangements that involve an insolvent company that issues shares for consideration on the basis that all or part of that consideration is used, directly or indirectly, to make a payment under a financial arrangement to which the company, or an associated person, is a party. The effect is that they are treated in the same way as a direct issue of shares in repayment of debt. However, s [EW 46D](#) does not apply to shares issued under a convertible note that was issued when the borrower was solvent.

The part of the consideration for which the shares are issued and the use of that consideration to make a payment under the financial arrangement is disregarded. The issue of the shares is instead treated as a payment under the financial arrangement. The amount of the payment is the market value of the shares.

The consideration is calculated according to the formula in s [EW 46D\(2\)\(3\)](#):

$$\text{Shares' market value} \times \text{repayment} \div \text{total consideration}$$

Where:

- Shares' market value** is the market value of the shares at the time they were issued to a person
- Repayment** is the amount of the debtor's debt to the creditor that is paid (directly or indirectly) using consideration received for the issue of the shares to the person
- Total consideration** is the total amount of consideration paid by the person for the shares.

Law: IT07 ss [CD 5\(2\)](#), [CD 43\(6B\)–\(6D\)](#), [CD 44\(8B\)](#), [DB 31\(2\)\(bb\)](#), [DV 18B](#), [EW 46C](#), [EW 46D](#), [EW 49B](#)

Last reviewed on 31 December 2025

Discretionary payments under a financial arrangement [¶6-550]

[¶6-550]

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A party to a financial arrangement may be required to recalculate assessable income or expenditure in respect of the financial arrangement in circumstances in which:

- # the terms of the financial arrangement confer on any of the parties, or an associated person of them, the discretion to decide on amounts payable under the arrangement
- # terms of that kind are not generally accepted commercial practice
- # the change in the amounts payable under the financial arrangement upon exercise of that discretion does not reflect changes in economic, commodity, industrial or financial indices or banking or commercial rates, and
- # the effect of the arrangement is to defeat the intention of the financial arrangements rules.

In these circumstances, the person must use an arm's length consideration to calculate the true income and expenditure under the financial arrangement by application of the yield to maturity method. The income or expenditure calculated is substituted for any amounts previously calculated in respect of the financial arrangement. The timing of the adjustment depends on when the taxpayer ceases to be a party to the financial arrangement under consideration. When this in fact occurs, an adjustment is made for the income year in which that change takes place. A person who retains the status of a party to the financial arrangement is subject to the adjustment at intervals of not less than 5 complete income years after the year in which the person issued or acquired the financial arrangement. The Commissioner is authorised to reassess accordingly despite the time bar that might otherwise have applied. The adjustment must be made in a special tax return. No new due date is set for the purpose of use of money interest. The adjustment is in addition to the base price adjustment.

Law: IT07 s [EW 53](#); TAA s [44B](#)

Last reviewed on 31 December 2025

Defeating the intention of the financial arrangements rules [¶6-560]

[¶6-560]

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The Commissioner is authorised to substitute an arm's length consideration for that used by the parties to a financial arrangement if he is satisfied that the financial arrangement is entered into, acquired, varied, sold or transferred in a way that defeats the intention of the financial arrangements rules. The grounds upon which this may be done are broad, the Commissioner needing only to have regard to the connection between the parties and any other relevant circumstances.

In one case, the Commissioner alleged that gifts of government stock to a charity had the effect of defeating the intention of the financial arrangements rules. Under the financial arrangements rules as they then stood, the calculation of the base price adjustment conferred a deduction in the hands of the donor for the cost of the stock that was gifted. The Commissioner's allegation of a dealing to defeat the intention of the financial arrangements rules was based on a suggestion that the rules assumed that all transfers of a financial arrangement would be at market value.

The Privy Council considered that this argument resulted in putting the avoidance provisions to a very unusual use. Those provisions contemplate that the circumstances that justify application of the avoidance provisions will be specific to a particular transaction, arising out of the relationship between the parties and other relevant circumstances. In this respect, the financial arrangement avoidance provisions are similar to the general anti-avoidance provisions. What the 2 sections have in common is that, generally speaking, they are aimed at transactions that in commercial terms fall within the charge to tax but which have been, intentionally or otherwise, structured in such a way that, on a purely juristic analysis, they do not. That is what is meant by defeating the intention and application of the statute. In the present case, there was no tension between the commercial and juristic character of the transaction. It was in legal, commercial or any other terms, a transfer of financial arrangements for no consideration. The Commissioner relied on the avoidance provisions to overcome a deduction that the financial arrangements rules would otherwise confer. The Commissioner's approach amounted to the imposition of tax by administrative discretion instead of by law. See *C of IR v Auckland Harbour Board* (2001) 20 NZTC 17,008 (PC).

Note that one outcome of this case was legislative amendments providing that a financial arrangement transferred for nil or inadequate consideration is deemed to have been transferred at market value (¶6-370).

Law: IT07 ss [EW 48](#), [GB 21](#), [GC 6](#), [GC 7](#), [GC 8](#), [GC 9](#), [GC 10](#), [GC 11](#), [GC 12](#), [GC 13](#), [GC 14](#)

Last reviewed on 31 December 2025

Issue of determinations under the financial arrangements rules [¶6-600]

[¶6-600]

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The Commissioner has specific powers to issue determinations as to the application of income and expenditure from financial arrangements. Determinations issued are legally binding on the Commissioner and on the persons who are subject to them. The determinations may provide a general method by which a financial arrangement's income or expenditure may be calculated. Alternatively, a determination may provide a specific method of calculating income or expenditure for a particular type of financial arrangement. A determination can differentiate classes of financial arrangements, having regard to the purpose for which they were originally acquired or issued, even though they may be of the same type. The Commissioner can also determine a number of other matters including the classes of persons who may apply the various determinations. In addition, the Commissioner may determine whether particular persons can use any of the spreading methods for the same class of financial arrangement.

Determinations made under earlier tax Acts continue in force despite the repeal and replacement of tax Acts.

Determinations issued

The Commissioner has issued the following general determinations:

- # Determination [G1A](#): "Apportionment of income and expenditure on a daily basis"
- # Determination [G2](#): "Requirements as to precision"
- # Determination [G3](#): "Yield to maturity method"
- # Determination [G4](#): "Unit trusts with repurchase obligations"
- # Determination [G5C](#): "Mandatory conversion convertible notes"
- # Determination [G6D](#): "Foreign currency rates"
- # Determination [G7C](#): "Futures and options markets"
- # Determination [G9A](#): "Financial arrangements that are denominated in a currency other than New Zealand dollars"
- # Determination [G9C](#): "Financial arrangements that are denominated in a currency other than New Zealand dollars: an expected value approach"
- # Determination [G10B](#): "Present value calculation methods" (applies to perpetuities)
- # Determination [G11A](#): "Present value based yield to maturity method" (applies to perpetuities)
- # Determination [G12](#): "Accounting for a financial arrangement in the absence of a determination"
- # Determination [G13A](#): "Prices or yields"
- # Determination [G14](#): "Forward contracts for foreign exchange and commodities"
- # Determination [G14B](#): "Forward contracts for foreign exchange and commodities: an expected value approach"
- # Determination [G15](#): "Exemption from s 64C for small debtors"
- # Determination [G16A](#): "Discounted value of amounts payable in relation to trade credits denominated in New Zealand currency"
- # Determination [G17B](#): "Deferred property settlements denominated in New Zealand currency"
- # Determination [G19](#): "Exchange traded option contracts"
- # Determination [G20](#): "Discounted value of amounts payable in relation to trade credits denominated in a foreign currency"
- # Determination [G21](#): "Discounted value of amounts payable in relation to deferred property settlements denominated in a foreign currency"
- # Determination [G21A](#): "Agreements for sale and purchase of property denominated in foreign currency: discounted value of amounts payable"
- # Determination [G22](#): "Optional conversion convertible notes denominated in New Zealand dollars convertible at the option of the holder"

- # *Determination* [G22A](#): “Optional convertible notes denominated in New Zealand dollars”
- # *Determination* [G23](#): “Specified rate”
- # *Determination* [G24](#): “Straight line method”
- # *Determination* [G25](#): “Variations in the terms of a financial arrangement”
- # *Determination* [G26](#): “Variable rate financial arrangements”
- # *Determination* [G27](#): “Swaps”
- # *Determination* [G29](#): “Agreements for sale and purchase of property denominated in foreign currency: exchange rate to determine the acquisition price and method for spreading income and expenditure”
- # *Determination* [G31](#): “NZX Milk Price Futures Contracts: an expected value approach”.

The Commissioner has also issued a number of specific determinations.

Law: IT07 s [ZA 5](#); TAA ss [90AA](#), [90AC](#)

Last reviewed on 31 December 2025

Application for a determination [¶6-610]

[¶6-610]

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A taxpayer may seek a determination from the Commissioner under the Income Tax (Determinations) Regulations 1987. The fees for determinations are as follows:

- # application fee (non-refundable): \$322.00 (GST inclusive), and
- # processing fee (per hour or part thereof, exclusive of the first 2 hours): \$161.00 (GST inclusive).

Applications should be made on form [IR 735](#) (August 2022) and emailed to rulings@ird.govt.nz.

The Commissioner does have the power to waive the fees, in full or in part, in exceptional cases. Once made, the following determinations are binding on the person or class of person affected by it:

- # how the yield to maturity method applies to a financial arrangement
- # the method for calculating financial arrangement income or expenditure under the determination or alternative method
- # the method for determining the portion of certain items treated as solely attributable to an excepted financial arrangement that is part of a financial arrangement
- # the method of determining the future value or the discounted value when ascertaining the consideration amount under s [EW 32\(5\)](#) or [\(6\)](#), and
- # the method to be applied when calculating the consideration amount in a base price adjustment when a financial arrangement is disposed of within a consolidated group.

Determinations are required to be published in a publication chosen by the Commissioner within 30 days after they are made, although the Commissioner must only publish the anonymous version of the determination where an applicant has given an anonymity notification.

Law: TAA ss [90AB](#), [90AC\(3\)](#), [90AD\(1\)](#)

Last reviewed on 31 December 2025

Challenge to a determination [¶6-620]

[¶6-620]

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A person affected by a determination may challenge the determination in accordance with the disputes resolution procedures. A determination of this nature is treated as a disputable decision similar to an ordinary assessment or amended assessment ([¶4-215–¶4-220](#)).

Once made and applied, a determination forms the basis of an assessment of the person's financial arrangement income and expenditure. Limited exceptions exist for a person detrimentally affected by subsequent legislation, or if the application for a determination contained a material misrepresentation or omission.

Last reviewed on 31 December 2025

Fresh determination [¶6-630]

[¶6-630]

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Once a determination has been made, the Commissioner may vary or rescind it, in whole or in part, by issuing a fresh determination. The later determination must also be published within 30 days after it has been made. Clearly, a fresh determination could have a disruptive effect on a person who has treated a financial arrangement in accordance with previous arrangements. There is a period of grace for any financial arrangement acquired or issued before the fresh determination was notified or published. This class of arrangement is not subject to the later determination until 4 years after the determination is published or the person is notified of it. A person has the same rights of challenge to a fresh determination as arise on the making of the original determination.

Law: TAA ss [90AC\(6\)](#), [90AD](#), [90AE](#)

Last reviewed on 31 December 2025

Determinations and binding rulings [¶6-640]

[¶6-640]

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The general principles are that a determination is binding on the person affected by it, but a binding ruling is not. The binding ruling is only binding on the Commissioner. A determination is considered "law", but a binding ruling represents only an interpretation of the law. There may be situations where a person applies for both a determination and a binding ruling. For example, there may be a need to determine the spread of income and expenditure and for an interpretation in relation to the deductibility of expenditure under a financial arrangement.

The person may dispute a determination but not a binding ruling.

The Commissioner is able to issue a binding ruling that provides an alternative means for both parties to a financial arrangement to clarify the application of the financial arrangements rules. However, this option is not available where the arrangement is already, or is potentially, subject to a determination. The Commissioner has issued few binding rulings that deal with topics under the financial arrangements rules. Examples include the release of debt for natural love and affection and deductions for bad debts.

From 18 March 2019, s [91CC](#) of the TAA allows the Commissioner to rule on certain financial arrangements rules questions for which he could previously only issue a determination. The Commissioner can make binding rulings on the following matters relating to financial arrangements:

- # whether an amount is solely attributable to an excepted financial arrangement
- # the use of certain spreading methods, and
- # the value of certain property or services.

Law: TAA ss [90AC\(3\)](#), [91C](#), [91CC](#)

Last reviewed on 31 December 2025

Finance leases and financial arrangements rules [¶6-700]

[¶6-700]

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A finance lease is subject to the financial arrangements rules. The essence of a finance lease transaction is that substantially all the risks and rewards of ownership are transferred to the lessee and the lessor effectively recovers the cost of the asset plus interest from the rentals paid by the lessee. The provision of the lease asset to the lessee may be equated with an advance of principal and, through the lease payments, the lessee makes repayment of the "loan" at interest.

The definitions of a "finance lease" and other relevant terms are contained in s [YA 1](#). A lease of personal property (other than bloodstock or livestock) is a finance lease if, at the time the lease is entered into, any of the following criteria are met:

- # ownership of the lease asset is transferred to the lessee or an associate of the lessee, during or at the end of the lease term
- # the lessee or associate has the option to acquire the lease asset for an amount that is likely to be substantially lower than the market value of the lease asset on the date of acquisition
- # an associate of the lessee has the right to acquire the lease asset or the lessor has the right to require an associate of the lessee to acquire the lease asset during the lease term under an arrangement that does not entitle the associate to receive all of the lease payments that may fall due after the asset is acquired
- # the lease term is more than 75% of the estimated useful life of the lease asset, or
- # the lease is entered into on or after 20 June 2007 and the lease is an arrangement (or part of an arrangement) involving the lease of an overseas asset where the income (other than the income of the lessor) from the use of the asset is not completely taxable in New Zealand and the lease is a finance lease under NZIAS 17 for the lessor, or the economic risks and rewards of owning the asset have been transferred to someone other than the lessor.

The finance lease rules extend to an arrangement involving the sale and leaseback of intangible assets.

IFRS leases

Changes have been made to allow taxpayers who apply the New Zealand Equivalent to International Financial Reporting Standard 16 Leases (NZ IFRS 16) to more closely follow their accounting treatment of leases for tax purposes. The rules only apply to lessees, not lessors, and apply to taxpayers with IFRS reporting obligations for income years starting on or after 1 January 2019 (to align with the replacement of NZIAS 17 with NZ IFRS 16). Similarly, the definition of "finance lease" in s [YA 1](#) has been updated to refer to NZ IFRS 16. No changes have been made to the existing boundary between finance leases and operating leases for tax purposes.

Under ss [FA 6](#) and [FA 7](#), the leasing of a lease asset is treated as a sale of that asset to the lessee. This is deemed to occur on the date the lease starts. The lessor is deemed to have given the lessee a loan for the amount of the lessor's disposition value for the lease asset (calculated under s [EW 32](#)) and the lessee is treated as receiving a loan to purchase the lease asset for the lessee's acquisition cost of the lease asset (calculated under ss [EW 32](#) and [EW 33](#)).

Example:

X acquires equipment for \$3,000 and incurs expenditure of \$500 carrying out work on the plant that will adapt it for the lessee's purpose. The value of the plant (ie the lowest cash price) is \$4,000. The lessor's disposition cost will be \$4,000. X will be deemed to have sold the asset for \$4,000.

Depreciation

No depreciation loss may be deducted by a lessor during the lease term or during the tax year in which the lease term commences (s [FA 8](#)).

Termination of a finance lease

On the termination of a lease, if the lessee does not acquire ownership there is a deemed resale of the lease asset to the lessor at the guaranteed residual value or, if there is no guaranteed residual value, at nil value. If a lease terminates early and the lessor re-acquires the lease asset, the lease asset is treated as being sold by the lessee to the lessor for the outstanding balance of the deemed loan less any amount paid by the lessee to be released from any obligation under the lease (s [FA 10](#)).

If the lessee retains the lease asset under the lease, any subsequent sale is subject to tax. The profit on sale is deemed by s [FA 9\(2\)](#) to be income of the lessee under s [CC 11](#). If the lessor retains the asset, any subsequent sale by the lessor is effectively included in income.

Lessor's income under a finance lease

The lessor's income under a finance lease is treated as interest. This means that the interest component of the finance is subject to NRWT where the lessor is a non-resident.

A finance lease is not an excepted financial arrangement. The interest that is income will be recognised under the financial arrangements rules by use of the yield to maturity or other spreading method.

Lessee's deduction under a finance lease

A lessee is allowed a deduction for expenditure incurred under a finance lease provided the normal deductibility criteria are met. Therefore, the deductibility of a finance lease payment will be subject to the general limitations for deductibility such as the capital limitation. If a deduction is available, the financial arrangements rules will govern the timing of its recognition.

Adjustment for consecutive or successive leases

The lessor and the lessee must make an adjustment pursuant to s [FA 11](#) if there are consecutive or successive leases deemed to be the one lease. This is where they did not contemplate at the start of the lease term that the lease would be for more than 75% of the estimated useful life of the lease asset and the total lease term becomes a period longer than 75% of the lease asset's estimated useful life. The ensuing adjustment must be part of the tax return for the income year in which the adjustment is made.

An adjustment that produces a positive amount is income to the lessor or the lessee under s [CH 6](#), as the case may be. Conversely, a negative amount is a deduction under s [DB 51B](#).

Adjustment required when a lease becomes a finance lease

In the year a lease becomes a finance lease, an adjustment is required to account for any under- or over-returning of income or expenditure by the lessor and the lessee in previous years. This adjustment is designed to compare the amounts which would have been returned or claimed had the lease been a finance lease from the outset with the actual amounts already returned or claimed. The difference is income or expenditure in the tax year in which the lease changes to a finance lease. These provisions were amended with effect for leases entered into on or after 20 May 1999 and for income years including 20 June 2007 and later income years. The changes accommodate an adjustment for existing operating leases entered into before 20 June 2007 that are reclassified as finance leases under the amended rules (ie where overseas lease assets are involved). Under the rules, for the remaining term of the lease, a lessee's allowable depreciation deductions are reduced by one-sixth of the depreciation deductions claimed while the lease was treated as an operating lease.

The spreading methods for a finance lease

If the lease has a fixed duration, with known payments, it would be appropriate to apply the yield to maturity or the straight-line method. See [16-400](#) regarding the determination of consideration under a finance lease for the purposes of the financial arrangements rules. At the end of the term of the finance lease, a base price adjustment should be performed.

Example:

C enters into a finance lease with D for a term of 4 years. The lessee's acquisition cost is \$10,000. The lease payments over 4 years total \$16,000. In years one to 3 inclusive, C has claimed interest deductions of \$4,500. The lease asset has been depreciated for tax purposes and has a tax book value of \$5,000 at the end of the four-year term. The lease asset is returned to D and there is a deemed disposal of nil (as there is no guaranteed residual value). C is entitled to claim a depreciation loss on disposal of the asset of \$5,000.

The base price adjustment is as follows:

$$(10,000 \# 16,000) \# 0 + 4,500 + 0 = (\$1,500)$$

As the result is a negative amount, it is expenditure incurred by C. The total deductions claimed by C over the life of the lease would be:

	\$
Interest	4,500
Depreciation	5,000
Loss on disposal	5,000
Base price adjustment	<u>1,500</u>
Total deductions	16,000

Law: IT07 ss [CC 11](#), [CC 12](#), [CH 6](#), [DB 51B](#), [FA 6–FA 11B](#), [YA 1](#) (“finance lease”)

Last reviewed on 31 December 2025

Hire purchase agreements [¶6-740]

[¶6-740]

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The provisions of ss [FA 12](#)–[FA 18](#) provide that a hire purchase agreement for personal property, being personal property that is not livestock or bloodstock, is treated for tax purposes as a sale of the property with a loan for the purchase price. That loan is treated as having been made by the person providing the finance under the agreement to the person obtaining the right to use the property.

A hire purchase agreement is:

- # an agreement under which goods are let or hired with an option to purchase, however the payments are described, and
- # an agreement for the purchase of goods by instalment payments (whether described as rent or hire or otherwise) under which the person who agrees to purchase the goods is given possession of them before the total amount payable has been paid.

A hire purchase agreement also includes:

- # an agreement to sell goods at retail under which the buyer grants security over the goods to the seller for the whole or part of the purchase price and the property in the goods passes to the buyer subject to that security, and
- # a sale and loan arrangement under which a person lends money on the security of any goods that have been bought (or are to be bought) at retail if:
 - # the whole or part of the purchase price is paid out of the proceeds of the loan, and
 - # the loan is made by the seller, or
 - # the loan is arranged by the seller and made by a third party who is engaged in the business of lending money (or who habitually lends money in the course of the third party's business).

In the first case, the hire purchase agreement will be treated as being made at the time at which the sale of the goods is made. In the second case, the hire purchase agreement will be treated as being made at the time at which the loan is made.

A hire purchase agreement does not include an agreement:

- # under which property in the goods passes absolutely to the person who agrees to purchase them at the time of the agreement or upon or at any time before delivery of the goods
- # that is not made at retail, or
- # to the extent that the property that is the subject of the agreement is livestock or bloodstock.

A hire purchase agreement for livestock or bloodstock is an excepted financial arrangement ([¶6-065](#)).

Income from the gross profit component

The person granting the use of or the right to use a hire purchase asset is deemed to have sold the hire purchase asset to the customer at the commencement of the hire purchase agreement. Any gross profit element in the transaction is included as assessable income, under the general rules, in the year that the hire purchase agreement is entered into and is deemed to be interest. The gross profit element does not become assessable over the term of the agreement.

Depreciation and consideration

Depreciation deductions may only be claimed by the buyer (s [FA 14](#)). The buyer is deemed to have purchased the asset for the consideration determined under the financial arrangements rules, plus any expenditure or loss incurred by the buyer in preparing and installing the hire purchase asset for use. That

consideration generally will be the lowest price of the hire purchase asset, although possibilities apply if the agreement is part of a financial arrangement ([¶16-400](#)).

Spreading method for interest

The interest component of payments under the hire purchase agreement are to be recognised by the application of one of the available spreading methods ([¶16-102](#)).

Assignment

It is recognised that a person who enters into a hire purchase agreement may assign the agreement, typically to a financier. The assignment will be in one of 2 forms. One is where the person assigns all property in the agreement. The other is where only the right to the income stream is assigned. The former class of transaction is more common because of the greater security conferred on the financier. Where the merchant assigns all of the property in a hire purchase agreement, inclusive of title to the leased asset and the right to the lease payments, the following consequences apply:

- # the original hire purchase agreement is deemed to be terminated for the purposes of calculating a base price adjustment
- # the financier would calculate financial arrangements income under the agreement by referring to the price actually paid for the agreement, and
- # the financier would be deemed to be the seller for the purposes of making the final calculations on the termination of the agreement.

If the original seller retains legal ownership of the underlying asset, but assigns the income stream, the seller would be required to perform a base price adjustment for accrued income and expenditure. The customer would be unaffected by any assignment of the hire purchase agreement.

Termination of the agreement

A hire purchase agreement may be terminated in circumstances in which the buyer or an associate does not acquire the asset. In that event, the seller is deemed to acquire the asset at the buyer's outstanding balance as at termination. The seller is to treat the asset as trading stock if it is a business asset of that party. This deemed acquisition of trading stock results in a deduction for the amount of the difference between the outstanding balance and the market value. This offsets the income of that amount that is deemed to be derived under the base price adjustment. Depending on the amount of any sale proceeds or year-end stock valuation, the seller may be allowed a further deduction or have assessable income. Repossession and associated expenses and recoveries are deductible and assessable according to ordinary principles. Where a deduction for deemed acquisition of trading stock has been taken, there can be no bad debt deduction for amounts owing or to become owing under the agreement.

Any payments that the buyer makes after the year of termination are income to the seller. Any payments that the seller makes after the year of termination are expenditure incurred (if not previously included in the seller's outstanding balance) and income to the buyer (if not previously included in the buyer's outstanding balance).

Transfer of ownership to buyer

A buyer may acquire ownership of a hire purchase asset at the end of the hire purchase period. If the seller was deemed to have sold the asset to the buyer at the start of the agreement, the transfer of ownership to the buyer at the termination or expiry of the hire purchase agreement will not constitute either a further disposition by the seller or further acquisition by the buyer.

Withholding tax

The income of a seller from a loan under a hire purchase agreement is treated as interest. This means that the payments could be subject to the deduction of RWT or NRWT as applicable.

Law: IT07 ss [CC 13](#), [EW 32](#), [EW 33](#), [FA 12–FA 18](#), [YA 1](#) (“[hire purchase agreement](#)”)

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